TRADING FOUNDRY

COURSE PLAYBOOK · ALL LEVELS · 10 LESSONS

Risk Management & Position *Sizing.*

The maths that keeps you in the game — size every trade correctly, survive every losing streak, and run your account to a written plan.



EDUCATION ONLY — NOT FINANCIAL ADVICE. CHARTS ARE ILLUSTRATIVE, SYNTHETIC PRICE DATA.

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What you will be able to do

- Choose and justify a fixed risk per trade, and explain why 0.5–1% is a sensible illustrative range for most retail traders
- Calculate an exact position size on EUR/USD, USD/JPY and XAU/USD from your balance, risk percentage and stop distance, and reverse-check it in under a minute
- Measure every trade in R, read a break-even table, and judge whether a setup's reward is worth its risk before you enter
- Work out the expectancy of a method from a journal, and see exactly how small leaks in discipline destroy it
- Predict the losing streaks your method will produce, so a run of losses never surprises you into breaking your rules
- Set daily, weekly and peak-to-trough loss limits, and cap your total exposure to any one currency
- Read a prop-firm challenge's rules through a risk lens and size your trades to the drawdown limits, not the profit target
- Keep a trade journal in R, run a weekly review, and write a one-page risk plan you will actually follow

This playbook is educational content only. It is not financial advice and nothing in it is a recommendation to buy or sell any instrument. Every chart is an illustrative training example built from synthetic price data — not a record of real market history or results. Trading foreign exchange on margin carries a high level of risk.

Why Risk Comes First.

MODULE 1 — THE SURVIVAL MATHS · LESSON 1

Explain why a fixed, small risk per trade matters more than any entry technique, and choose a sensible risk percentage for your own account.

Most trading education starts with entries: where to buy, where to sell, which pattern to look for. It is the exciting part, so it gets the attention. This course starts somewhere less glamorous and far more important — with the question of **how much** you lose when you are wrong.

Here is the uncomfortable truth that sits under every strategy you will ever learn. Two traders can take exactly the same trades, at exactly the same prices, with exactly the same stops and targets — and one of them can grow an account while the other blows it up. The only difference between them is size. Entries decide *whether* a trade wins. Risk management decides whether you are still trading next month.

By the end of this lesson you will understand why professional traders obsess over a single number — their risk per trade — and you will have chosen your own.

Two traders, one trade

Look at the first chart. It is a perfectly reasonable long trade on EUR/USD: an uptrend, a pullback, a buy near the pullback low, a stop below structure. It loses. That is not a disaster. Good setups lose all the time; that is what a probability is.



One trade, one 25-pip stop, one loss. On a £10,000 account, Trader A sized it to lose 1% and Trader B sized it to lose 10%. The chart is identical for both — the damage is not.

Trader A loses £100. Annoying, forgettable, and fully recoverable on the next decent trade. Trader B loses £1,000 — a tenth of the account in a single afternoon, on a trade that was *correctly* analysed. Nothing about Trader B's chart reading was worse. The size was the mistake.

Now stretch that across a normal run of trading. Every method, however good, produces strings of consecutive losses. Not occasionally — routinely. Lesson 5 shows the probabilities in detail; for now, accept that a run of five, six or seven losses in a row is something any trader with a realistic method will experience, probably more than once a year.

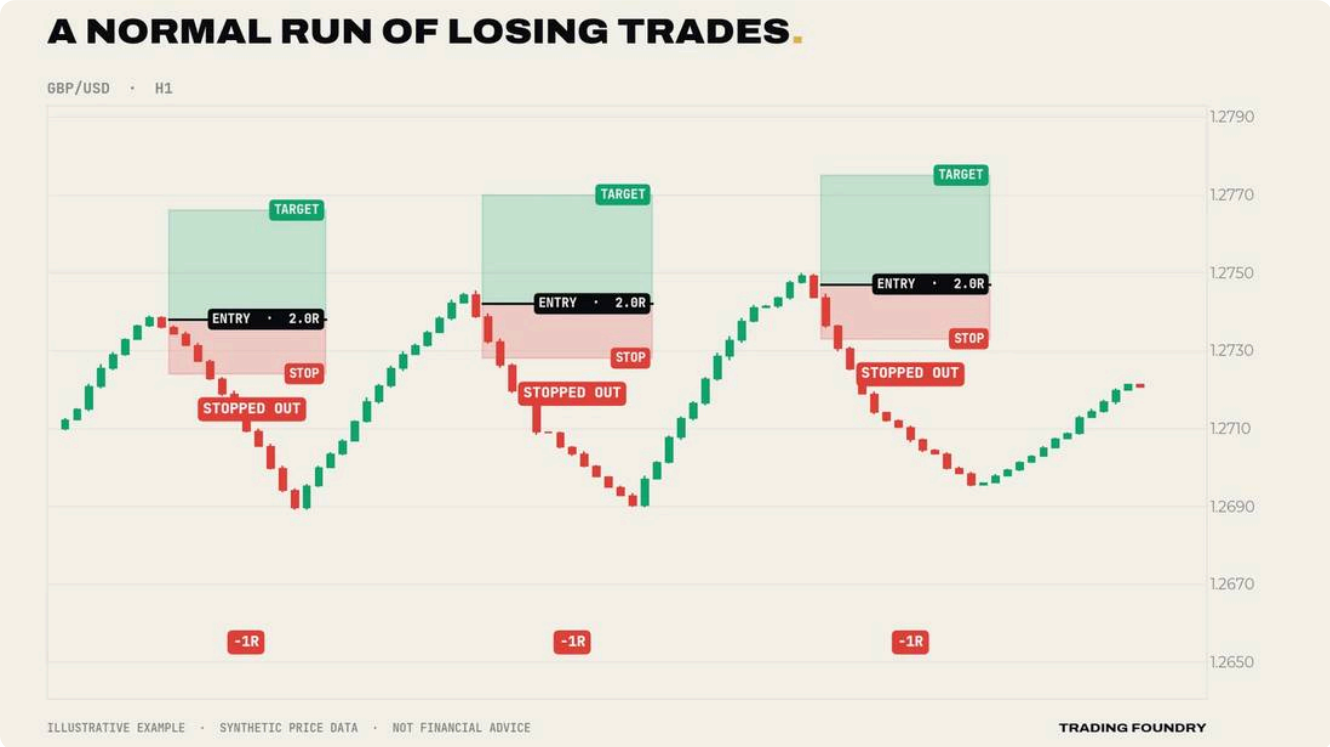
What a losing streak does to each account

This is the table that should change how you think about size. It shows what happens to an account after a run of losing trades at different fixed risk levels, with each loss taken as a percentage of the *current* balance.

RISK PER TRADE	AFTER 5 LOSSES IN A ROW	AFTER 10 LOSSES IN A ROW
0.5%	−2.5%	−4.9%
1%	−4.9%	−9.6%
2%	−9.6%	−18.3%
5%	−22.6%	−40.1%
10%	−41.0%	−65.1%

At 1%, ten straight losses — a genuinely bad run — leaves you down under 10%. You are bruised, but you still have more than nine-tenths of your capital and every option open. At 5%, the same run takes away 40% of the account. At 10%, two-thirds of it is gone, and as lesson 6 shows, you would then need to *triple* what is left just to get back to where you started.

The losing streak is not a risk you can avoid. It is coming whatever risk you choose. The only thing you choose is how deep the hole is when it arrives.



Three reasonable-looking breakout attempts in a choppy market, three full losses. Nothing went wrong in the execution — this is simply what a losing run looks like on a chart. At 1% risk it costs about 3%. At 10% risk it costs over a quarter of the account.

KEY POINT

You cannot choose whether a losing streak comes. You can only choose how much each loss in it costs you.

Ruin is the only outcome you cannot recover from

Every other bad outcome in trading is temporary. A losing week ends. A drawdown can be climbed out of. A strategy that stops working can be replaced. But an account that has been destroyed — or shrunk so far that recovery needs heroic returns — takes away the one thing every edge needs to work: time and repetitions.

This is the core idea of the whole course. An edge is a *long-run* advantage. It only shows up over many trades — dozens at minimum, hundreds to be confident. If your size is so large that a normal losing streak knocks you out before those trades happen, the edge never gets the chance to appear. You were right about the market and still lost the money.

So the first job of risk management is not to make money. It is to make sure you are still here for the trades that do.

Why a percentage, and why 0.5–1%

The standard approach — and the one this course uses throughout — is to risk a **fixed percentage of your current account balance** on every trade. Not a fixed amount of money, not "whatever feels right", and not more when you feel confident.

A percentage does two useful things automatically:

- **It shrinks your size when you are losing.** After a drawdown, 1% of a smaller balance is a smaller sum of money, so the hole digs itself more slowly.
- **It grows your size when you are winning.** As the balance rises, 1% becomes a larger sum, so gains compound without you having to decide to "size up".

Why 0.5–1% as an illustration? Because at that level, the worst losing runs a realistic method throws at you leave the account dented rather than broken, and because it leaves room for the other limits we will build later — daily caps, correlation caps and prop-firm drawdown rules all assume a small base risk. Many experienced traders sit at 0.25–0.5%. Very few who last a long time sit much above 2%.

Treat those numbers as illustrative, not as a prescription. The right number for you depends on your method's losing streaks, your account size, your psychology and any external rules (such as a prop firm's). But if you are new, **start at the low end**. You can always increase risk once you have a journal full of evidence. You cannot un-blow an account.

COMMON MISTAKE

Choosing risk by how much you *want to make*. "I want £500 a week, so I'll risk £250 a trade." That is backwards. Risk is chosen by how much you can afford to lose in a bad run, and returns are whatever the method then produces.

Risk is measured to the stop

One more definition, because everything later depends on it. **Your risk on a trade is the money you lose if your stop is hit.** It is not your margin. It is not the size of your position. It is not your leverage. A huge position with a tight stop can risk less than a small position with a wide stop.



The red box is the whole of your risk: the distance from entry to stop. Your position size is chosen so that this box costs exactly your chosen percentage if it is hit. The green box is what you hope to earn — here three times the risk.

That is why the order of operations matters so much, and why lesson 2 is built around it:

1. Find the trade and decide where the idea is wrong — that is your stop.
2. Measure the distance from entry to stop.
3. Calculate the position size that makes that distance cost exactly your chosen percentage.

The stop is decided by the chart. The size is decided by the maths. Your feelings decide neither.

Going deeper

Risk of ruin is not linear. Doubling your risk per trade does not double your chance of disaster — it multiplies it. Because losses compound against a shrinking balance, and because the recovery needed after a drawdown grows faster than the drawdown itself, there is a point beyond which even a method with a genuine edge has a meaningful chance of falling into a hole it cannot climb out of. For realistic retail methods (modest edges, win rates somewhere between 35% and 55%), that cliff starts to appear somewhere in the 3–5% per trade range. Under about 1%, it is remote for any method that has a real edge at all.

Stops are not guarantees. A stop order becomes a market order when it is touched. In fast markets — major data releases, weekend gaps, thin liquidity — your fill can be worse than your stop price. A trade sized to lose 1% can lose 1.3% or more.



Price closes the week above the stop and opens the next one 22 pips below it. The stop fills at the first available price, not the stop price — so a trade sized for 1% loses closer to 2%. This is why small base risk leaves room for the bad fills that will eventually happen.

This is another argument for small risk. At 1%, an ugly gap turns a 1% loss into a 2% one. At 5%, it can turn into 10%. Keeping base risk low gives you headroom for the events your stop cannot protect you from, and it is why later lessons treat high-impact news and weekend holding as risk decisions, not just trading decisions.

Fixed fractional versus fixed amount. Some traders prefer to risk a fixed sum — say £100 — and only recalculate it monthly. That is fine as long as the sum is reset *downwards* promptly in a drawdown. Risking a fixed amount that was set when the account was larger is a quiet way of creeping up to 2% or 3% while telling yourself you are still at 1%.

THE RULES

- Every trade has a stop decided before entry, and risk is measured to that stop.
- Risk a fixed percentage of current balance per trade (illustratively 0.5–1%), the same on every trade.
- Never raise risk because you feel confident, or to win back a loss.
- If you are new, start at the low end of your range and raise it only on evidence from your journal.

Summary

- Entries decide whether a trade wins; size decides whether you survive the losing ones.
- Losing streaks are guaranteed. At 1% risk, ten losses cost under 10%; at 10% risk they cost about two-thirds of the account.

- Risk a fixed percentage of current balance — 0.5–1% is a sensible illustrative range — so size shrinks in drawdowns and grows with the account.
- Risk is the money lost if the stop is hit: the distance from entry to stop, multiplied by your position size.
- Stops are not guarantees, so small base risk leaves headroom for gaps and slippage.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Two traders take the identical trade with the identical stop. One loses 1% and the other loses 10%. What caused the difference?
   A. The second trader's entry was worse
   B. The second trader's position size was ten times larger
   C. The second trader used a wider stop
   D. The second trader traded a more volatile pair
2. Roughly how much of the account is lost after ten consecutive losses at 1% of current balance per trade?
   A. 10% exactly
   B. About 9.6%
   C. About 18%
   D. About 1%
3. Which definition of 'risk on a trade' does this course use?
   A. The margin the broker holds
   B. The total value of the position
   C. The money lost if the stop is hit
   D. The leverage on the account
4. A trader wants to make £400 a week and decides to risk £200 per trade to get there. What is wrong with this?
   A. Nothing, as long as the stop is set
   B. Risk is being chosen from a profit wish, not from what the account can afford to lose in a bad run
   C. £200 is too small to reach the goal
   D. They should use a fixed lot size instead
5. Why does a fixed percentage of current balance protect you during a drawdown?
   A. It stops losing trades from happening
   B. It automatically shrinks the money risked as the balance falls
   C. It automatically widens your stops
   D. It guarantees a fill at the stop price
6. A trade is sized for 1% risk, but the market gaps through the stop over a weekend. What is the most likely result?
   A. The loss is capped at exactly 1%
   B. The loss can exceed 1% because the stop fills at the next available price

C. The broker cancels the trade

D. The trade is closed at break-even

The Position Size Formula.

MODULE 1 — THE SURVIVAL MATHS · LESSON 2

Calculate the exact lot size for any trade on EUR/USD, USD/JPY or XAU/USD from your balance, risk percentage and stop distance, then reverse-check it.

Lesson 1 gave you a number: a fixed percentage of your balance that you are prepared to lose on any one trade. This lesson turns that number into an actual order — a lot size you can type into your platform.

It is the most practical lesson in the course, and the one most traders skip. They pick "0.5 lots" because that is what they traded last time, or because a round number feels tidy. The result is that their "1% risk" is really 0.4% on one trade and 2.7% on the next, depending on how wide the stop happened to be. The percentage only means something if the size is **calculated** every single time.

The good news: there is one formula, it has three inputs, and once you have done it by hand a dozen times it takes under a minute.

The one formula

```
POSITION SIZE (LOTS) = MONEY AT RISK ÷ (STOP DISTANCE IN PIPS × PIP VALUE PER LOT)
```

Three inputs:

- **Money at risk** — your balance multiplied by your risk percentage. £10,000 × 1% = £100.
- **Stop distance** — the gap between your entry and your stop, in pips, read from the chart.
- **Pip value per lot** — what one pip of movement is worth on one standard lot of that instrument, in your account currency.

Everything else is housekeeping. The order of operations matters more than the arithmetic: **the stop comes first, from the chart. The size comes second, from the maths.** You never move a stop to make a size fit. You change the size to fit the stop.

Lots and pip values in one table

A **standard lot** is 100,000 units of the first-named (base) currency. A **mini lot** is 0.10 lots (10,000 units) and a **micro lot** is 0.01 lots (1,000 units). Most platforms take sizes in standard lots with two decimal places.

For any currency pair, one pip on one standard lot is worth **10 units of the second-named (quote) currency**. That one fact covers almost every pair:

INSTRUMENT	PIP SIZE	ONE PIP ON 1.00 LOT	IN A GBP ACCOUNT (ILLUSTRATIVE RATES)
EUR/USD	0.0001	$10	£8.00 at GBP/USD 1.2500
GBP/USD	0.0001	$10	£8.00 at GBP/USD 1.2500
EUR/GBP	0.0001	£10	£10.00 — no conversion
USD/JPY	0.01	¥1,000	£5.33 at GBP/JPY 187.50
XAU/USD (100 oz lot)	$0.10	$10	£8.00 at GBP/USD 1.2500

If your account is in the quote currency, the pip value is simply 10 per lot and you are done. If not, you convert — either the pip value into your currency, or your money at risk into the quote currency. Both give the same answer. This lesson converts the money at risk, because you only do it once per trade.

All exchange rates in this lesson are illustrative round numbers chosen to make the arithmetic easy to follow. Use the live rate when you size a real trade.

Worked example 1: EUR/USD

Account: **£10,000**. Risk: **1% = £100**. The chart shows a long setup with entry at 1.0855 and the stop under the pullback low at 1.0830 — a **25-pip** stop.



The stop goes beneath the pullback low first: 25 pips. Only then is the size calculated — £100 of risk divided by 25 pips at $10 per pip per lot, converted to pounds, gives 0.50 lots. Hit the stop and you lose £100; hit the 2R target and you make about £200.

Step by step:

1. **Money at risk:** £10,000 × 1% = **£100**.

2. **Convert to the quote currency (USD):** £100 × 1.2500 = **$125**.
3. **Cost of the stop on one lot:** 25 pips × $10 = **$250**.
4. **Size:** $125 ÷ $250 = **0.50 lots**.
5. **Reverse check:** 0.50 lots × $10 = $5 per pip. $5 × 25 pips = $125. $125 ÷ 1.25 = **£100**. Correct.

That last step is not optional. The reverse check takes ten seconds and catches nearly every error — a stop measured in points instead of pips, a slipped decimal, the wrong account currency.

Worked example 2: USD/JPY

Yen pairs frighten people because the pip is 0.01 instead of 0.0001. The method does not change at all. Only the pip size and the pip value do.

Same account: **£10,000**, **£100** at risk. This time a short on USD/JPY: entry at 150.60, stop above the lower high at 151.00 — a **40-pip** stop (151.00 − 150.60 = 0.40, and one pip is 0.01).



On a yen pair a pip is 0.01, so 150.60 to 151.00 is 40 pips. Converting £100 of risk into yen and dividing by the cost of 40 pips on one lot gives 0.468 — rounded down to 0.46 lots, which risks a fraction under £100.

1. **Money at risk: £100**.
2. **Convert to the quote currency (JPY):** GBP/JPY at an illustrative 187.50 (that is GBP/USD 1.2500 × USD/JPY 150.00). £100 × 187.50 = **¥18,750**.
3. **Cost of the stop on one lot:** 40 pips × ¥1,000 = **¥40,000**.
4. **Size:** ¥18,750 ÷ ¥40,000 = 0.469 → **round down to 0.46 lots**.

5. **Reverse check:** 0.46 × ¥1,000 × 40 = ¥18,400. ¥18,400 ÷ 187.50 = **£98.13**. Just under £100 — exactly the side you want to miss on.

Notice the rounding. **Always round down.** Rounding up "because it is only a little" is how 1% quietly becomes 1.1%, then 1.3%, then a habit.

Worked example 3: XAU/USD (gold)

Gold is where most sizing accidents happen, because brokers define its contract and its "pip" in different ways. The safest approach is to ignore the word pip altogether and work in **dollars of price movement**.

On most platforms one lot of XAU/USD is **100 troy ounces**. A $1.00 move in the gold price is therefore worth **$100 per lot**. (Our training charts measure gold in $0.10 steps, which are worth $10 per lot — the same thing expressed differently.) **Check your own broker's contract specification before your first gold trade.** Some use different lot sizes, and that changes every number below.

Same account, **£100** at risk. A long on gold: entry at $2,362.00, stop beneath the demand zone at $2,350.00 — a **$12.00** stop.



Gold moves in dollars, so measure the stop in dollars: $2,362 to $2,350 is $12. On a 100-ounce lot that costs $1,200 per lot, so $125 of risk buys 0.104 lots — rounded down to 0.10. A routine-looking $12 stop on gold is the same as 120 'pips' on our chart scale.

1. **Money at risk:** £100 × 1.2500 = **$125**.
2. **Cost of the stop on one lot:** $12.00 × 100 oz = **$1,200**.
3. **Size:** $125 ÷ $1,200 = 0.104 → **0.10 lots**.
4. **Reverse check:** 0.10 lots × 100 oz × $12 = $120 = **£96**. Under £100. Correct.

Now notice what a beginner does instead. They trade 1.00 lot of gold "because that is what I trade on EUR/USD". The same $12 stop would then cost $1,200, or £960 — nearly 10% of the account on one ordinary trade. Gold is not more dangerous than EUR/USD. Unsized gold is.

COMMON MISTAKE

Using the same lot size on every instrument. 0.50 lots on EUR/USD with a 25-pip stop and 0.50 lots on gold with a $12 stop are completely different bets — £100 versus £480 of risk on our illustrative numbers.

Wide stop, small size — same risk

The formula has a consequence that surprises almost everyone. Because size is divided by stop distance, a **wider stop means a smaller position** and a **tighter stop means a larger one** — and the money at risk does not move at all.



Two traders take the same entry. One uses a 15-pip stop just under the pullback low, the other a 40-pip stop below the whole structure. The first trades 0.83 lots, the second 0.31 lots. Both lose exactly £100 if stopped. A wider stop is not 'more risk' — it is the same risk spread over more room.

The arithmetic (with £100 = $125 at our illustrative 1.2500):

- 15-pip stop: $125 ÷ (15 × $10) = 0.833 → **0.83 lots**.
- 40-pip stop: $125 ÷ (40 × $10) = 0.3125 → **0.31 lots**.

This is why the stop should always go where the chart says the idea is wrong, not where it "feels affordable". You are never forced into a tight stop to keep risk down. The size handles that.

The wrong way round: sizing first

Here is what happens when a trader decides the size first and then fits the stop to it.



The trader wanted to trade 1.50 lots and could only 'afford' an 8-pip stop at that size. The stop sits in the middle of normal noise, well above the real invalidation level. Price dips, takes it out, and then goes exactly where the analysis said it would.

The analysis was right. The trade still lost, because the stop was decided by the size instead of by the chart. The correct response to "I can only afford an 8-pip stop at 1.50 lots" is not an 8-pip stop. It is a smaller size.

THE RULES

- Place the stop from the chart first; calculate the size second. Never the other way round.
- Size = money at risk ÷ (stop pips × pip value per lot), converted into one currency.
- Always round the size down to your broker's lot step.
- Reverse-check every size before entry: lots × pip value × stop pips = money at risk.
- Check the contract specification of any new instrument (especially gold) before the first trade.

Going deeper

Costs belong in the stop. If you are stopped out, your real loss is the stop distance *plus* the spread (and commission, if your account charges it). On a 40-pip stop a 1-pip spread barely matters. On a 6-pip scalping stop, a 1-pip spread and a $7-per-lot commission can add 20–30% to the planned risk. For stops under about 15 pips, add the typical spread and the commission (converted to pips) to the stop distance before sizing.

Minimum size can say no for you. If the calculated size rounds below your broker's minimum (often 0.01 lots), the right answer is to skip the trade, not to take it oversized. On a £10,000 account at 1% this almost never happens. On a £300 account it happens constantly — which is useful information about whether that account is ready for the stops your strategy needs.

Fixed balance or current equity? Most traders size from their balance (closed trades only). If you regularly hold several open positions, consider sizing from the lower of balance and equity, so that open losses reduce the size of new trades rather than being ignored.

Calculators. Use one in live trading — speed matters and arithmetic under pressure is unreliable. But only after you can reproduce its answer by hand. A trader who cannot do the maths cannot tell when the calculator has been fed the wrong account currency or a stop in points, and those are exactly the errors that turn 1% into 10%.

Summary

- Size = money at risk ÷ (stop pips × pip value per lot). Stop first, size second.
- One pip on one standard lot is worth 10 units of the quote currency; convert to your account currency.
- Worked on £10,000 at 1%: EUR/USD 25-pip stop → 0.50 lots; USD/JPY 40-pip stop → 0.46 lots; XAU/USD $12 stop → 0.10 lots.
- Wider stops mean smaller sizes and the same money at risk. Always round down and reverse-check.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which is the correct order of operations?
   A. Choose a lot size, then place the stop where that size is affordable
   B. Place the stop where the idea is invalid, then calculate the lot size
   C. Choose a target, then work back to a stop
   D. Use the same lot size as the last trade, then adjust the stop
2. A USD account risks $200 on EUR/USD with a 20-pip stop. What size is correct?
   A. 0.10 lots
   B. 1.00 lot
   C. 0.20 lots
   D. 2.00 lots
3. Your USD/JPY stop runs from 149.80 to 150.30. How many pips is that?
   A. 5 pips
   B. 50 pips
   C. 500 pips
   D. 0.5 pips
4. Your calculation gives 0.468 lots. What do you trade?
   A. 0.47 lots
   B. 0.50 lots
   C. 0.46 lots
   D. 0.40 lots
5. On a 100-ounce gold contract, what is a $15 stop worth on 0.20 lots?
   A. $30
   B. $300
   C. $3,000
   D. $150
6. Trader A uses a 15-pip stop, Trader B a 45-pip stop on the same entry. Both size correctly for 1%. Which statement is true?
   A. Trader B is risking three times as much
   B. Trader A is risking three times as much
   C. Both risk the same money; B simply trades a third of A's size

D. Neither has defined risk

Thinking in R.

MODULE 1 — THE SURVIVAL MATHS · LESSON 3

Measure every trade in R multiples, read a break-even table, and decide before entry whether a setup's honest reward justifies its risk.

Pounds and dollars are a terrible way to judge trading. A £300 win sounds good until you learn it risked £600. A £50 loss sounds trivial until you learn the trader meant to risk £20. And a +£400 month on a £2,000 account is a completely different achievement from +£400 on a £200,000 one.

Professional traders sidestep all of this with one unit: **R**. From this lesson onward, every trade in this course — and every trade in your journal — is measured in it.

What R is

1R is the amount you risked on the trade. That is all. If you risked £100 (entry to stop), then:

- Stopped out for £100 → **−1R**.
- Closed at the target for £200 → **+2R**.
- Closed early for £50 → **+0.5R**.
- Closed at entry → **0R**.

R does two jobs. First, it makes every trade comparable with every other trade, whatever the account size, pair or date. A +2R trade on a £500 account and a +2R trade on a £50,000 account are the same trade, executed equally well. Second, it quietly enforces the rule from lesson 1: you cannot measure a trade in R unless it had a defined stop. A trade with no stop has no R, and a journal full of trades with no R is not a record of skill — it is a list of outcomes.



The red box defines 1R: the 20 pips from entry to stop. The green box is 40 pips — two of those units — so a full target hit is +2R, whatever the account size. On a £10,000 account at 1%, that is +£200; on a £500 account at 1%, +£10. Same trade, same skill.

Risk-to-reward is planned R

Risk-to-reward (R:R) is simply the R you are *aiming* for. A 20-pip stop with a 40-pip target is a 2R target, often written 1:2. It is measured from entry to target and from entry to stop.

The key word is **honest**. Any trader can draw a 5R target on a chart. The question is whether the market has a sensible path to get there. A target should sit at a level the chart gives you a reason to expect — a prior swing high or low, the edge of a range, a measured move — not at a number chosen because it makes the R:R look attractive.

KEY POINT

R:R is decided by where the stop *must* go and where the target *can* realistically go. If those two levels do not give you enough R, the answer is to skip the trade — not to move them.

The break-even table

This is the most useful table in retail trading. If your average winner is worth W R and your losers are worth −1R, the win rate you need **just to break even** is:

```
BREAK-EVEN WIN RATE = 1 ÷ (1 + W)
```

AVERAGE WINNER	BREAK-EVEN WIN RATE (NO COSTS)	BREAK-EVEN WITH COSTS OF 0.1R PER TRADE
0.5R	66.7%	73.3%
1R	50.0%	55.0%
1.5R	40.0%	44.0%
2R	33.3%	36.7%
3R	25.0%	27.5%

Read it slowly. A trader whose winners average 2R can be wrong two times out of three and lose nothing. A trader whose winners average 0.5R — the classic "grab the profit quickly, give the loser room" habit — must be right two times in three just to stand still, and nearly three times in four once spread and commission are counted.

Two practical notes on reading it. First, the table assumes your losers really are −1R. If your average loser drifts to −1.2R because stops get nudged or fills are poor, every row shifts upwards — the same 2R winners now need about 38% instead of 33%. Second, "average winner" means the average of what you actually banked, not what you planned. A trader who plans 2R targets but closes half their winners early at +0.8R may have an average winner of only 1.4R, and therefore a break-even rate of over 40%. The table is only as honest as the numbers you feed it.

The costs column matters more than most people think. Spread and commission are charged on every trade, win or lose. Expressed in R they are a fixed tax, and that tax bites hardest on small targets. On a 2R trade, 0.1R of costs is a rounding error. On a 0.5R trade it is a fifth of the winner.

Win rate and reward are a trade-off

So why not aim for 5R on everything? Because targets and win rates are linked. The further away the target, the less often price reaches it before reaching the stop. You cannot choose both independently.

Here is a purely **hypothetical** illustration — one imaginary method, tested with three different target rules:

TARGET RULE	HYPOTHETICAL HIT RATE	RESULT PER TRADE (BEFORE COSTS)
1R	55%	0.55 × 1 − 0.45 × 1 = **+0.10R**
2R	38%	0.38 × 2 − 0.62 × 1 = **+0.14R**
3R	24%	0.24 × 3 − 0.76 × 1 = **−0.04R**

In this made-up example, 2R is the sweet spot. The 1R version wins more often but earns less per trade, and it is far more sensitive to costs. The 3R version sounds exciting but asks price to travel further than this method's setups usually allow. A different method, with different setups, would have a different sweet spot — which is exactly why you find yours from your own journal (lesson 9), not from this table.

COMMON MISTAKE

Judging a method by its win rate alone. A 70% win rate with 0.4R winners loses money (0.7 × 0.4 − 0.3 = −0.02R per trade). A 35% win rate with 2.5R winners makes it. Win rate means nothing without win size.

A target that is not there

Now the losing — or rather, the skipped — version. Below is a short setup that looks fine at first glance: a lower high, a bearish candle, a clear stop above the high.



The stop has to go above the lower high: 25 pips. But clear support sits only 20 pips below entry, so the honest target is 0.8R. The trade might well have worked, but at 0.8R you would need to win well over half of these setups just to break even after costs. Skip it.

The analysis is not wrong. Price may well fall to support. The problem is arithmetic: a 25-pip stop and a 20-pip honest target is a 0.8R trade. You would need to win roughly 59% of trades like this just to break even before costs. That is a lot to ask of any setup.

The tempting fixes are both mistakes. **Tightening the stop** to 10 pips "to make it 2R" puts the stop inside the normal noise below the lower high — lesson 2 showed how that ends. **Moving the target** through support to make it 2R pretends the support is not there. The only clean answer is to pass and wait for a setup with room.

Passing feels like losing an opportunity. It is not. Over a year you will see hundreds of setups, and the ones that offer 0.8R at a genuine stop are the ones that quietly drain accounts — each one a little coin-flip tilted against you once costs are paid. Saying no to them is not timidity. It is the same discipline that makes the good trades worth taking.

Practice drill — trade or no trade?



An uptrend has pulled back and printed a bullish candle. Entry would be 151.56, the stop under the pullback low at 151.40. The first realistic target is the prior high at 151.80. Work out the R before you decide.

THE REVEAL



THE ANSWER

Trade. The stop is 16 pips (151.56 – 151.40) and the prior high is 24 pips away, so the first target alone is 1.5R — and in a clean uptrend with higher highs, a break of that high to a 2R target at 151.88 is a realistic plan. Here price did break the high and run. Even if it had stalled, the trade had acceptable R at a structural target. Compare that with the 0.8R short earlier: the deciding question is always the honest distance to the target versus the distance the stop needs.

Going deeper

Planned R versus achieved R. Your journal will show that achieved R differs from planned R. Trades get closed early, stops get trailed, partial profits get taken, and some losses are smaller than −1R because you exited before the stop. That is fine — what matters is the average achieved R of winners and losers across a large sample. Lesson 4 turns those two averages into a single number.

Losses bigger than 1R are a warning light. Slippage and gaps can occasionally produce −1.1R or −1.3R. If your journal shows frequent losses beyond −1R, though, something is wrong: stops being widened, positions added to, or sizing errors. Your average loss should sit at or slightly under −1R. Every tenth of an R above that comes straight out of your edge.

Partials change the shape, not the maths. Taking half off at 1R and running the rest to 3R gives a winner of (0.5 × 1) + (0.5 × 3) = 2R if both halves hit, and +0.5R if the runner is stopped at entry. Whether partials help or hurt depends on your method's behaviour after 1R, and only a journal can answer it. Pick a rule, test it, write it down.



Half the position closes at +1R (20 pips), the rest runs to the 3R target. The blended result is +2R. Had the runner been stopped at entry instead, the trade would have banked +0.5R. Partials smooth the ride; whether they improve the total is a question for your journal.

THE RULES

- Measure every trade in R: profit or loss divided by the money risked at entry.
- Set the stop where the idea is invalid and the target where structure allows — then compute R. Never move either to improve the ratio.
- If the honest first target is below your minimum (illustratively 1.5R), skip the trade.
- Include costs in your break-even thinking, especially for small targets.

Summary

- 1R is the amount risked on a trade. Every result is logged as a multiple of it.
- Break-even win rate = 1 ÷ (1 + average winner in R). At 2R you need 33%; at 0.5R you need 67%, before costs.
- Win rate and target distance trade off against each other; the best balance is method-specific and found from your journal.
- An honest target is set by structure. If it does not give enough R, skip the trade rather than bending the stop or target.

CHECK YOURSELF · ANSWERS AT THE BACK

1. You risked £80 and closed the trade for a £120 profit. What is the result in R?

   A. +1.2R

   B. +1.5R

   C. +0.67R

   D. +2R

2. Your winners average 1.5R and losers −1R. What win rate do you need to break even before costs?

   A. 60%

   B. 50%

   C. 40%

   D. 33%

3. A method wins 70% of the time with average winners of 0.4R and losers of −1R. What is the result per trade?

   A. +0.28R

   B. −0.02R

   C. +0.70R

   D. +0.10R

4. A short setup needs a 30-pip stop, and strong support is 24 pips below entry. What should you do?

   A. Tighten the stop to 12 pips to make it 2R

   B. Set the target 60 pips below, through support

   C. Recognise it as a 0.8R trade and skip it

   D. Take it at double size

5. Why do trading costs hurt small targets more than large ones?

   A. Brokers charge more on small trades

   B. Costs are a fixed amount per trade, so they are a larger fraction of a small winner

   C. Small targets are hit less often

   D. Costs are only charged on winners

6. Your journal shows many losses of −1.4R and −1.6R. What is the most likely cause?

   A. Normal variance

   B. Your targets are too far away

   C. Stops are being widened or sizing is wrong

D. Your win rate is too high

Expectancy — The One Number That Matters.

MODULE 2 — EDGE AND PROBABILITY · LESSON 4

Calculate the expectancy of a method from its win rate and average win and loss in R, and see how small discipline leaks erase an edge.

Ask a struggling trader how their strategy is doing and you will usually hear about the last trade. "It just hit target." "It stopped me out twice this morning." One trade is the least informative thing in trading. It tells you almost nothing about whether the method works.

What you actually want to know is this: **if I take this setup many times, following my rules, what do I make on average per trade?** That average has a name — **expectancy** — and it is the single number that decides whether a method is worth trading at all.

This lesson shows you how to calculate it, how to read it, and why most strategies that "stopped working" were never killed by their entries. They bled to death in the loss column.

The formula

Expectancy is measured in R per trade:

```
EXPECTANCY = (WIN RATE × AVERAGE WIN IN R) - (LOSS RATE × AVERAGE LOSS IN R)
```

Every number in it comes from your journal. Win rate is the share of trades that made money. Average win is the average R of those winners. Loss rate is one minus the win rate, and average loss is the average R of the losers (as a positive number).

Here is a **hypothetical** method, built only to illustrate the arithmetic. Over 100 trades it wins 45% of the time, the winners average +1.8R, and the losers average −1R because the stops are honoured.

Expectancy = (0.45 × 1.8) − (0.55 × 1.0) = 0.81 − 0.55 = **+0.26R per trade**.

In plain English: across many trades, this imaginary method earns about a quarter of an R per trade on average. Over 100 trades that is roughly +26R. At 1% risk per trade, that is in the region of +26% before costs and compounding — **as an illustration of how the arithmetic works, not a forecast of anything**. Real methods have to earn their numbers in a real journal.



Lose, win, lose, win. Half the trades fail, yet the four together make +2R because each winner is worth two losers. That is expectancy at work: it is the average across trades, not the result of any one of them, that pays.

KEY POINT

You do not trade individual trades. You trade the average. Expectancy is that average.

Calculating it from a journal

You do not need a spreadsheet wizard to do this. Here are ten hypothetical journal entries, each already recorded in R after costs:

TRADE	1	2	3	4	5	6	7	8	9	10
Result	+2.0R	−1.0R	−1.0R	+1.6R	−1.0R	+2.2R	−0.4R	−1.0R	+1.8R	−1.0R

The quickest route: add them up and divide by the number of trades. The total is +7.6R from the four winners and −5.4R from the six losers, so +2.2R over ten trades, or **+0.22R per trade**.

The longer route gives the same answer but tells you more. Win rate is 4 in 10 (40%). The average winner is 7.6 ÷ 4 = +1.9R. The average loser is 5.4 ÷ 6 = −0.9R — slightly better than −1R because trade 7 was closed early when the setup was invalidated. So expectancy = (0.40 × 1.9) − (0.60 × 0.9) = 0.76 − 0.54 = +0.22R.

Why bother with the long route? Because it shows you *where* the result comes from. If expectancy falls next month, the three parts tell you whether the win rate dropped, the winners shrank or the losers grew — three completely different problems with three completely different fixes. Ten trades is far too few to trust, as we will see shortly, but the method of calculating it is exactly the same at 10 trades or 1,000.

Where edges actually die

Now run the same hypothetical method again, with the same entries and the same setups, but with two small habits that almost every trader recognises.

Leak 1 — nudging stops. When price approaches the stop, the trader moves it "just a bit further" to give the trade room. Most of the time it gets hit anyway, only later. The average loss drifts from −1.0R to −1.3R.



The plan said −1R at the red box. Price touched the zone, the trader moved the stop down to 26, then to 20, and was stopped at the second level for −1.6R. The setup was never the problem: an ordinary loss was turned into a large one by a decision made under pressure.

Leak 2 — cutting winners. When the trade moves into profit, the trader closes early to "lock it in". The planned 2R targets keep turning into +0.8R and +1.1R exits. The average win slides from +1.8R to +1.4R.



The first wobble after a good move scared the trader out at +0.7R. Price then went on to the planned 2R target. Nothing was 'lost' on this trade — but repeated across a year, this habit quietly removes the large winners that the whole method depends on.

Here is what those two leaks do to the hypothetical method. The entries are identical in every row:

VERSION	WIN RATE	AVG WIN	AVG LOSS	EXPECTANCY
Disciplined	45%	+1.8R	−1.0R	**+0.26R**
Leak 1: nudged stops	45%	+1.8R	−1.3R	**+0.10R**
Leak 2: cut winners	45%	+1.4R	−1.0R	**+0.08R**
Both leaks	45%	+1.4R	−1.3R	**−0.09R**

Read the bottom row twice. Same strategy. Same entries. Same win rate. The disciplined trader has a positive edge, and the trader with both habits has a **losing** method — without a single entry being different. When people say a strategy "stopped working", this is very often what happened.

COMMON MISTAKE

Looking for a better entry when the journal shows a shrinking expectancy. Check the average loss and the average win first. If the losses are bigger than −1R or the winners are smaller than planned, the leak is in management, not in the setup.

Expectancy is an estimate

The number from your journal is not the "true" expectancy of your method. It is an estimate, and a small sample gives a very wobbly estimate.

For the hypothetical method above, each trade's result has a spread (standard deviation) of about 1.4R. Using ordinary statistics, here is the rough range the true expectancy could plausibly sit in, given the sample size:

TRADES IN SAMPLE	MEASURED EXPECTANCY	PLAUSIBLE RANGE (APPROX. 95%)
30	+0.26R	−0.24R to +0.76R
100	+0.26R	−0.02R to +0.54R
400	+0.26R	+0.12R to +0.40R

At 30 trades you cannot even tell whether the method is positive. At 100, you are starting to see something. At several hundred, the number begins to mean what it says. That is why this course keeps saying "judge by your journal over a real sample", and why changing your method after ten trades is noise-chasing.

Expectancy times opportunity

Expectancy is per trade. What you earn over a month is expectancy multiplied by how many valid trades you take. A method making +0.3R that sets up twice a month earns about +0.6R a month. A method making +0.1R that sets up forty times a month earns about +4R — if you have the time, the costs stay low, and the edge holds at that frequency. Neither is automatically better, but you should know which one you are running.

Going deeper

Costs live inside expectancy. Record your results after spread, commission and swap. If you log gross results, your expectancy is flattering you by however many tenths of an R your costs consume — and for short-term methods that can be most of the edge.

Kelly, and why you should not use it. The Kelly criterion gives the bet size that maximises long-run growth for a known edge: Kelly fraction = win rate − (loss rate ÷ average win in R). For our hypothetical method that is 0.45 − (0.55 ÷ 1.8) ≈ **14%** per trade. Nobody sensible risks that. Kelly assumes you know your edge exactly, and you do not — as the table above shows, your estimate could easily be half or double the truth. Kelly sizing on an overestimated edge is a fast route to ruin, and even a "quarter-Kelly" of 3.6% produces drawdowns most people cannot sit through. Treat Kelly as an upper bound that shows how much smaller sensible risk is than the theoretical maximum. It is one more reason the 0.5–1% range exists.

Distribution matters, not just the average. Two methods with +0.2R expectancy can feel completely different: one wins 60% with 1R winners, the other wins 25% with 4R winners. The second has much longer losing streaks (lesson 5) and deeper drawdowns (lesson 6). Choose a method whose distribution you can actually live with, because a method you abandon mid-drawdown has an expectancy of zero.

A good trade can lose. Judge each trade by whether you followed the plan, not by its outcome. A rule-following loss is a cost of doing business. A rule-breaking win is a bad trade that happened to pay, and it teaches the wrong lesson.



Uptrend, higher low, confirmation candle, structural stop, 2R target — every rule followed. Price failed and the trade lost 1R. In the journal this is logged as −1R and graded as a correct trade. The method's expectancy already includes losses like this one.

THE RULES

- Judge a method by its expectancy in R over a meaningful sample (100+ trades), never by a single trade or a single week.
- Log results after all costs.
- Keep average losses at −1R by never widening stops; protect average wins by following your written exit rule.
- Grade each trade on rule adherence, separately from its outcome.

Summary

- Expectancy = (win rate × average win) − (loss rate × average loss), in R per trade.
- A hypothetical 45% method with +1.8R winners and −1R losers earns +0.26R per trade; nudged stops and cut winners can turn it negative without changing a single entry.
- Small samples give unreliable estimates; 30 trades cannot tell a good method from a bad one.
- Monthly results are expectancy multiplied by the number of valid trades.
- Kelly sizing shows the theoretical maximum; real traders sit far below it because their edge is uncertain.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A method wins 40% of the time, with average winners of +2.0R and average losers of −1.0R. What is its expectancy?
   A. +0.40R
   B. +0.20R
   C. −0.20R
   D. +0.80R
2. The same method's average loss drifts to −1.4R because stops are being moved. What is the new expectancy?
   A. +0.20R
   B. −0.04R
   C. +0.04R
   D. −0.24R
3. After 25 trades a method shows +0.35R expectancy. What is the most accurate conclusion?
   A. The method is proven profitable
   B. The sample is too small to know whether the true expectancy is even positive
   C. Risk should be doubled
   D. The method has failed
4. In the 'winner cut short' chart, what was the real cost of closing at +0.7R?
   A. Nothing — it was still a profit
   B. The trade became a loss
   C. Repeated, it removes the large winners the method's expectancy depends on
   D. It increased the win rate, which improves expectancy
5. Why do sensible traders risk far less than the Kelly fraction suggests?
   A. Kelly only works on stocks
   B. Their edge is an uncertain estimate, and overestimating it with Kelly sizing can lead to ruin
   C. Kelly always gives negative numbers
   D. Brokers do not allow it
6. A trade followed every rule and lost 1R. How should it be graded?
   A. As a mistake, because it lost
   B. As a correct trade — the loss is part of the method's expectancy

C. It should not be logged

D. As a reason to change the setup

Losing Streaks Are Normal.

MODULE 2 — EDGE AND PROBABILITY · LESSON 5

Estimate the losing streaks your method will produce, recognise them as ordinary randomness, and keep your size and rules unchanged through them.

Sooner or later it happens to every trader. Loss. Loss. Loss. Loss. Loss. Each one followed the rules. Each one looked fine. By the fifth, a voice starts asking reasonable-sounding questions. Has the market changed? Is the strategy broken? Should I sit out — or should I size up and get it back?

This lesson is about that moment. It shows you, with plain probability, how often streaks like that occur in a method that is working perfectly well. Once you know the numbers, a run of losses stops being a crisis and becomes what it actually is: weather.

One trade is a coin toss with a weight on it

Think of each trade from a tested method as a coin toss with a slight bias. If the method wins 45% of the time, each trade is a coin that comes up "win" 45 times in 100 — on average, over many flips. It does not mean that every 100 trades contain 45 winners, and it certainly does not mean that losses and wins alternate politely.

Each trade is (for practical purposes) independent of the last. The market does not know you lost yesterday. So a loss does not make a win "due". This is the **gambler's fallacy**, and it is the root of a lot of bad sizing decisions.

The probability of a streak

The chance that the **next** few trades all lose is simple: multiply the loss rate by itself.

LOSS RATE	NEXT 3 ALL LOSE	NEXT 5 ALL LOSE	NEXT 8 ALL LOSE
45% (55% winners)	9.1%	1.8%	0.2%
55% (45% winners)	16.6%	5.0%	0.8%
65% (35% winners)	27.5%	11.6%	3.2%

Those look reassuringly small. They are also the wrong question. You are not taking five trades. You are taking hundreds, and the question that matters is: **somewhere in my next 100 trades, how likely is a run of this length?** That probability is far higher:

YOUR WIN RATE	CHANCE OF AT LEAST ONE RUN OF 5+ LOSSES IN 100 TRADES	8+ LOSSES	10+ LOSSES
60%	46%	4%	1%
50%	81%	17%	4%
45%	92%	31%	10%
40%	98%	49%	21%
35%	99.5%	69%	37%

Read the 45% row. A method that wins 45% of the time — a perfectly respectable method with good-sized winners — has a **92% chance** of producing at least one run of five or more straight losses in a hundred trades, and nearly a one-in-three chance of a run of eight. For a lower win-rate, higher-R method (35% winners), a run of eight losses in a hundred trades is more likely than not.

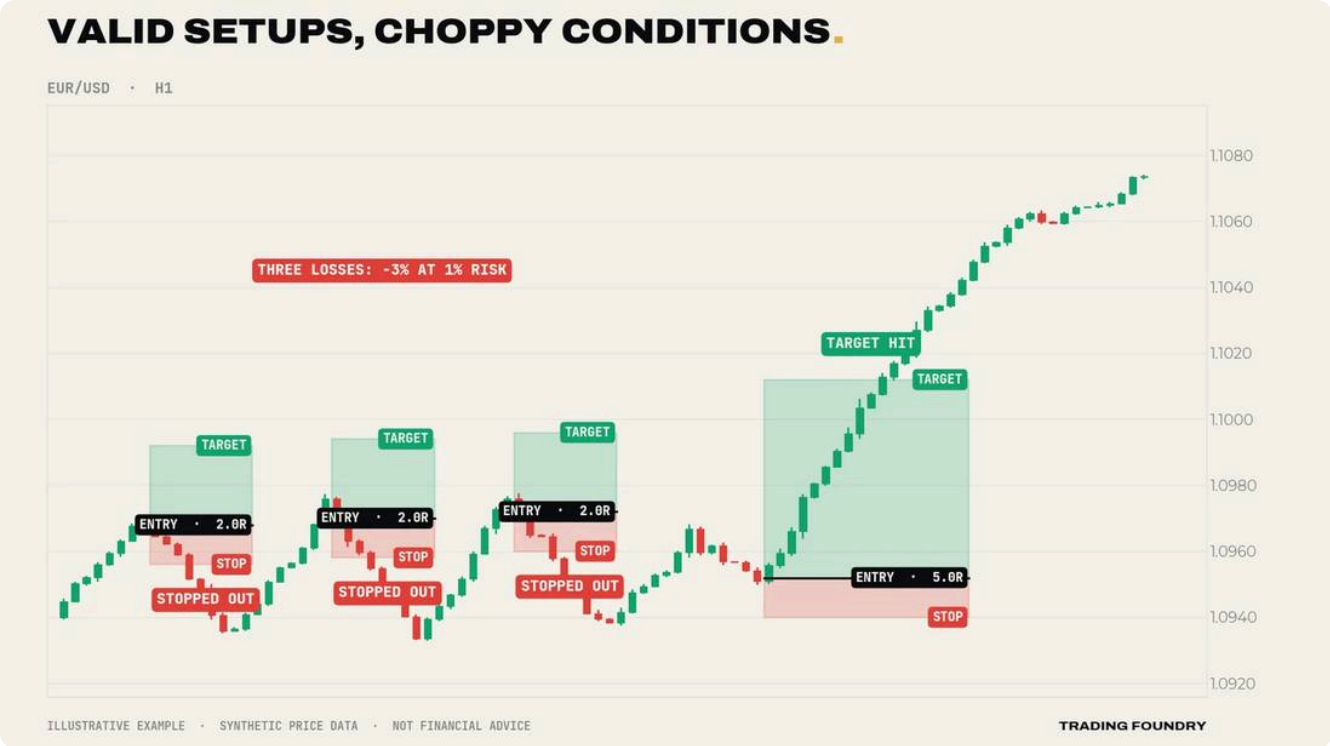
A rough rule of thumb for the longest losing streak you should expect in N trades is log(N) ÷ log(1 ÷ loss rate). For 100 trades at a 55% loss rate that comes out at roughly **8**. For a 65% loss rate, roughly **11**.

KEY POINT

If you trade a method for a year, the long losing streak is not a possibility. It is part of the plan. Size for it in advance.

What a streak looks like on the chart

Streaks often cluster when conditions do not suit the method. Below, a trend-following method meets a choppy range and keeps getting stopped — every trade a valid setup by the rules.



Three valid breakout entries inside a range, three full losses. The fourth setup, taken at exactly the same size, catches the trend and returns 5R. The trader who cut size after the third loss — or stopped trading — misses the trade that pays for the streak.

The fourth trade is the point. The method's expectancy depends on the big winner turning up somewhere in the sequence. It does not tell you where. The trader who abandons the method or halves the size after three losses is, on average, cutting exposure just before the winners that pay for the losers.

The two reactions that do the damage

Losing streaks rarely destroy accounts on their own. At 1% risk, eight losses is about −7.7%. What destroys accounts is the reaction.

Reaction 1 — revenge sizing. "I'm down 5%. One good trade at 5% risk gets it all back." This is how a −5% drawdown becomes −20%. Raising size after losses means your largest positions arrive exactly when your emotional state is worst and your recent evidence says nothing.



After four losses the trader buys a random push in a falling market at five times normal size, to 'win it back'. There is no setup here — no trend, no level, no confirmation. One more ordinary loss, and a 4% drawdown has become 9%.

Reaction 2 — abandoning or tinkering. "It's broken. I'll add a filter." Changing the method after a streak means you never collect a meaningful sample of any version. Lesson 4 showed that even 30 trades cannot reliably separate a good method from a bad one. Changing rules after six is pure noise-chasing.

COMMON MISTAKE

Believing a win is "due" after a streak and sizing up for it. The next trade has the same odds it always had. Increasing size because of past losses only increases the damage if the streak continues.

Why streaks feel worse than they are

If the maths is this clear, why do sensible people still react badly? Three well-documented quirks of human judgement are working against you.

We expect randomness to look tidy. Ask people to write down a random sequence of coin flips and they alternate far too often; real sequences contain long runs that look "suspicious". So when your journal shows L, L, L, L, L, it feels like a pattern that needs explaining. It usually is not.

Losses hurt more than wins please. Research on decision-making consistently finds that a loss feels roughly twice as painful as an equal gain feels good. Five −1R trades therefore feel like far more than five units of damage, even if the account is down less than 5%.

Recent events dominate. The last five trades loom larger than the previous two hundred. Your journal remembers the two hundred. Your gut remembers the five.

None of this can be switched off. What you can do is move the decision away from the moment. A rule written in advance — "after a losing streak, I keep executing at normal size unless a loss limit is hit" — does not need you to feel calm. It only needs you to follow it.

Practice drill — trade or no trade?

PRACTICE DRILL · BUY, SELL OR WAIT? DECIDE, THEN TURN THE PAGE



Your last four trades all lost, each correctly executed. This is a textbook pullback in an uptrend with a bullish candle off the pullback low, and the prior high gives more than 2R of room. Your daily and weekly loss limits are not hit. Take it — and if so, at what size?

THE REVEAL



THE ANSWER

Trade it, at your normal size. Four losses changed nothing about this setup or about your method's odds. Your loss limits are not reached, so the plan says the trade is valid. Not smaller out of fear, not bigger to 'win it back' — exactly 1R. Here it worked, but that is beside the point: it would have been the right decision had it lost, and taking it at a distorted size would have been wrong even though it won.

Building streaks into your plan

Knowing streaks are coming lets you prepare for them while calm:

1. **Look up your streak.** From your win rate, estimate the longest run you should expect in a year of trading (the table above, or the log rule).
2. **Price it.** Multiply by your risk per trade. Eight losses at 1% is about −7.7%. Eight losses at 3% is about −22%. If the second number would make you abandon the method, your risk is too high for that method.
3. **Decide the response in advance.** Your written plan (lesson 10) states exactly what happens after a streak — and "nothing, keep executing" is often the correct answer, with loss limits (lesson 6) as the safety net.

Going deeper

Streaks of wins are dangerous too. After six winners, confidence peaks and size creeps upward. The next normal losing streak then arrives at double size. A fixed-percentage model handles growth automatically; anything beyond it is the same gambler's fallacy wearing a nicer suit.



Six straight winners and the trader 'feels the market' — so this ordinary pullback trade goes on at 3% risk instead of 1%. It is a normal loss, and it erases three trades' worth of risk in one go. Winning streaks change confidence, not probabilities.

Is it a streak or a broken method? Sometimes a method genuinely stops working — the market regime changes, a session's behaviour shifts. The honest test is not the length of the streak but whether the losses are *different* from normal losses. Check your journal: are setups still meeting every rule? Are losses still −1R? Is the run longer than your realistic worst case (say, beyond the 10+ column for your win rate)? Is the drawdown past the limits in your plan? If yes, pause and review formally. If no, it is variance.

Monte Carlo. If you have a journal of 100+ trades in R, you can shuffle the order of those results thousands of times (simple spreadsheet or script) to see the range of streaks and drawdowns your own distribution produces. It is the most honest stress test available to a retail trader, and it usually shows that the worst case is worse than you assumed.

THE RULES

- Expect losing streaks and size for the longest realistic one in advance.
- Never increase size to recover losses, and never because a win feels 'due'.
- Do not change your method's rules during a streak; review only at scheduled times with a meaningful sample.
- After a winning run, keep the same percentage risk. Let compounding, not confidence, grow position size.

Summary

- Each trade is independent; losses do not make wins 'due'.
- A 45% method has about a 92% chance of a 5+ loss run and a 31% chance of an 8+ loss run in 100 trades.
- Expected longest streak ≈ log(N) ÷ log(1 ÷ loss rate) — around 8 for 100 trades at a 55% loss rate.
- The damage comes from reactions: revenge sizing and abandoning the method. Decide your response before the streak arrives.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A method wins 50% of the time. You have just lost four in a row. What is the probability the next trade wins?

   A. Higher than 50%, because a win is due

   B. About 50%, the same as always

   C. Lower than 50%, because the method is broken

   D. Exactly 6.25%

2. For a method that wins 45% of the time, how likely is at least one run of 5+ losses in 100 trades?

   A. About 2%

   B. About 25%

   C. About 50%

   D. Over 90%

3. Roughly what longest losing streak should a trader expect in 100 trades with a 55% loss rate?

   A. 3

   B. About 8

   C. About 20

   D. 55

4. In the 'choppy conditions' chart, what would cutting size after the third loss have done?

   A. Protected the trader from the next loss

   B. Reduced the profit on the winner that paid for the streak

   C. Improved the method's expectancy

   D. Nothing

5. Which is the best evidence that a method may be genuinely broken rather than in a normal streak?

   A. Five losses in a row

   B. Losses that look different — rules not met, losses beyond −1R, a run longer than the realistic worst case

   C. A losing week

   D. Feeling unsure about the market

6. After six winning trades, a trader raises risk from 1% to 3%. What is the main problem?

   A. None — they are in form

   B. Winning streaks do not change the odds, so the next normal loss costs three times as much

   C. 3% is the Kelly fraction

   D. It reduces the number of trades

Drawdown, Recovery and Loss Limits.

MODULE 3 — PROTECTING THE ACCOUNT · LESSON 6

Measure drawdown properly, understand why deep drawdowns are so hard to recover, and set daily, weekly and peak-to-trough loss limits before you need them.

Lesson 5 showed that losing streaks are guaranteed. This lesson is about what they leave behind — the **drawdown** — and about the circuit breakers that stop a bad day becoming a bad month, and a bad month becoming the end of the account.

There is a cruel piece of arithmetic at the centre of it. Once you understand it, you will never again think of a 30% loss as "only 30%".

What drawdown is

Drawdown is the fall in your account from its highest point (the peak) to a later low point (the trough), as a percentage of the peak. If the account rose to £11,000 and then fell to £9,900, the drawdown is £1,100 ÷ £11,000 = **10%** — even though you are still £900 up on your starting £9,000.

Two versions are worth tracking:

- **Current drawdown** — how far you are now below your highest-ever balance.
- **Maximum drawdown** — the deepest peak-to-trough fall you have ever had. It is the best single measure of how painful a method is to trade.

Measure from the **peak**, not from your deposit. Traders who measure from their deposit convince themselves they are "still in profit" while giving back months of gains.

The cruel arithmetic of recovery

When you lose a percentage of your account, you need a **larger** percentage gain to get back, because the gain is calculated on a smaller balance.

```
GAIN NEEDED TO RECOVER = DRAWDOWN ÷ (1 - DRAWDOWN)
```

DRAWDOWN	GAIN NEEDED TO GET BACK TO THE PEAK	HYPOTHETICAL TRADES TO RECOVER*
5%	5.3%	about 20
10%	11.1%	about 41
20%	25.0%	about 86
30%	42.9%	about 137
40%	66.7%	about 197
50%	100%	about 267
75%	300%	about 534

*Purely illustrative: a hypothetical method earning +0.26R per trade at a constant 1% risk, compounding. A real method's recovery time will differ, and could be much longer.

Small drawdowns are almost symmetrical: lose 5%, make back 5.3%. Large ones are not. Lose half the account and you must double what is left. Lose three-quarters and you must quadruple it. Even with a genuine, steady edge, the bottom rows of that table represent years of trading — and that assumes you keep your discipline throughout, which few people do while staring at a 40% hole.

KEY POINT

The first job of a loss limit is to keep you in the top rows of the recovery table, where the climb back is short.

Daily and weekly loss limits

A **loss limit** is a pre-agreed point at which you stop trading for a period, no matter what. It is not a judgement call made in the moment. It is a rule, written in advance, that removes the decision when you are least able to make it well.

Express limits in R — it keeps them consistent as your account grows or shrinks. Illustrative values for a 1% risk trader:

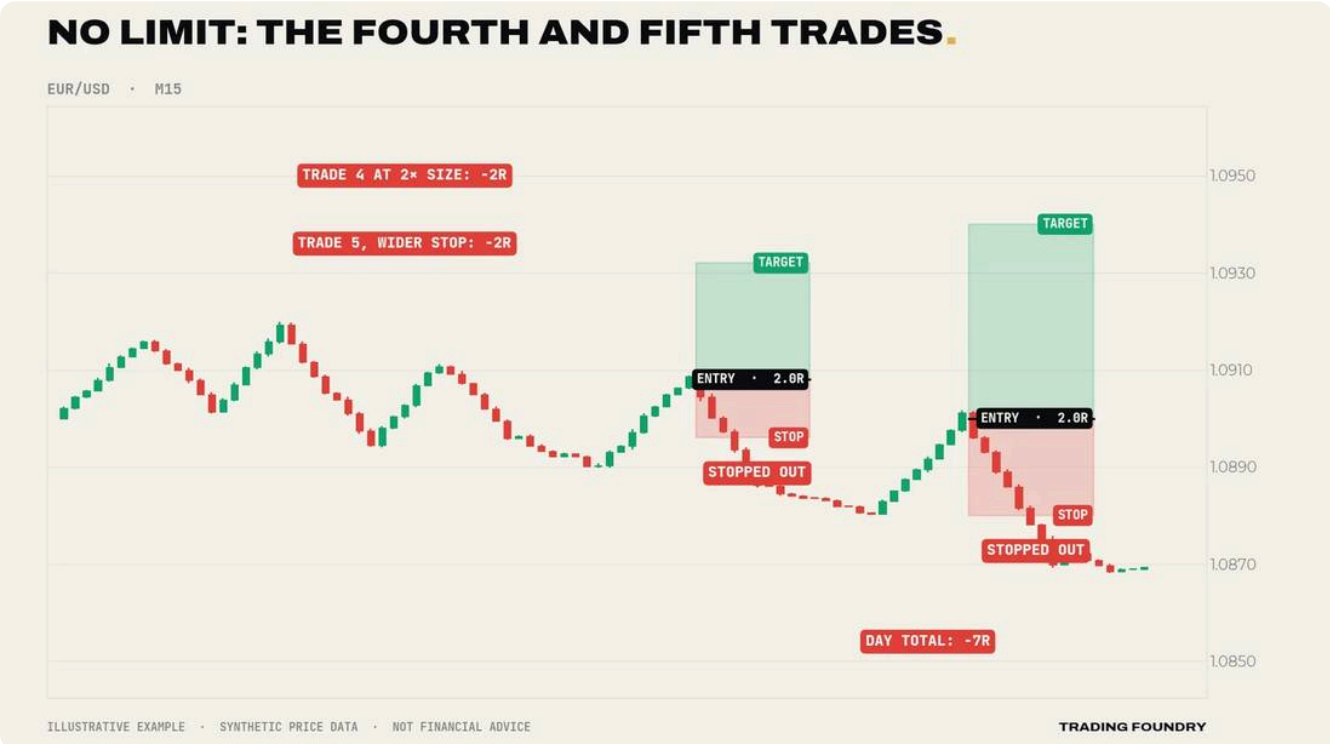
- **Daily limit: −3R.** Three full losses in a day and the platform closes until tomorrow.
- **Weekly limit: −5R to −6R.** Hit it and you stop until Monday.
- **Peak drawdown circuit breaker: −10% from the equity high.** Trading pauses for a formal review; risk is then halved until half the drawdown has been recovered.

Why stop after three losses if each one was a valid trade? Because a day with three losses is far more likely than usual to contain a fourth — not because the market owes you one, but because *you* are now trading differently. Losses change behaviour. You take setups you would normally skip, you size up a little, you exit winners early in relief. The daily limit is protection against the trader you become after three losses.



Three valid entries, three losses, −3R. The rule says the platform closes. Everything after that — including the choppy, falling market that would have tempted a 'win it back' trade — is simply not your problem today.

Now the same day, without a limit:



The trader without a limit buys the bounce at double size, then buys the next one with a stop widened 'to give it room'. Neither is a real setup. A −3R day becomes −7R — and at 1% risk, roughly a 7% drawdown from a single session.

COMMON MISTAKE

Treating the daily limit as a target to trade up to. "I'm at −2R, so I can afford one more loss." The limit is an emergency brake, not a budget. Trade only valid setups; if you hit the limit, stop.

Choosing your own limit numbers

The −3R, −6R and −10% figures above are illustrations, not laws. Your numbers should come from your method and your journal, and three checks keep them sensible.

The daily limit should rarely bind on a normal day. If you take one or two trades a day, a −3R limit will only trip on genuinely unusual days, which is exactly right. If you scalp ten trades a day, −3R may trip on ordinary variance and stop you before your edge can play out; a scalper might use −4R or −5R with a smaller risk per trade instead. A limit that trips every other day is not protecting you — it is telling you the risk per trade is wrong for the frequency.

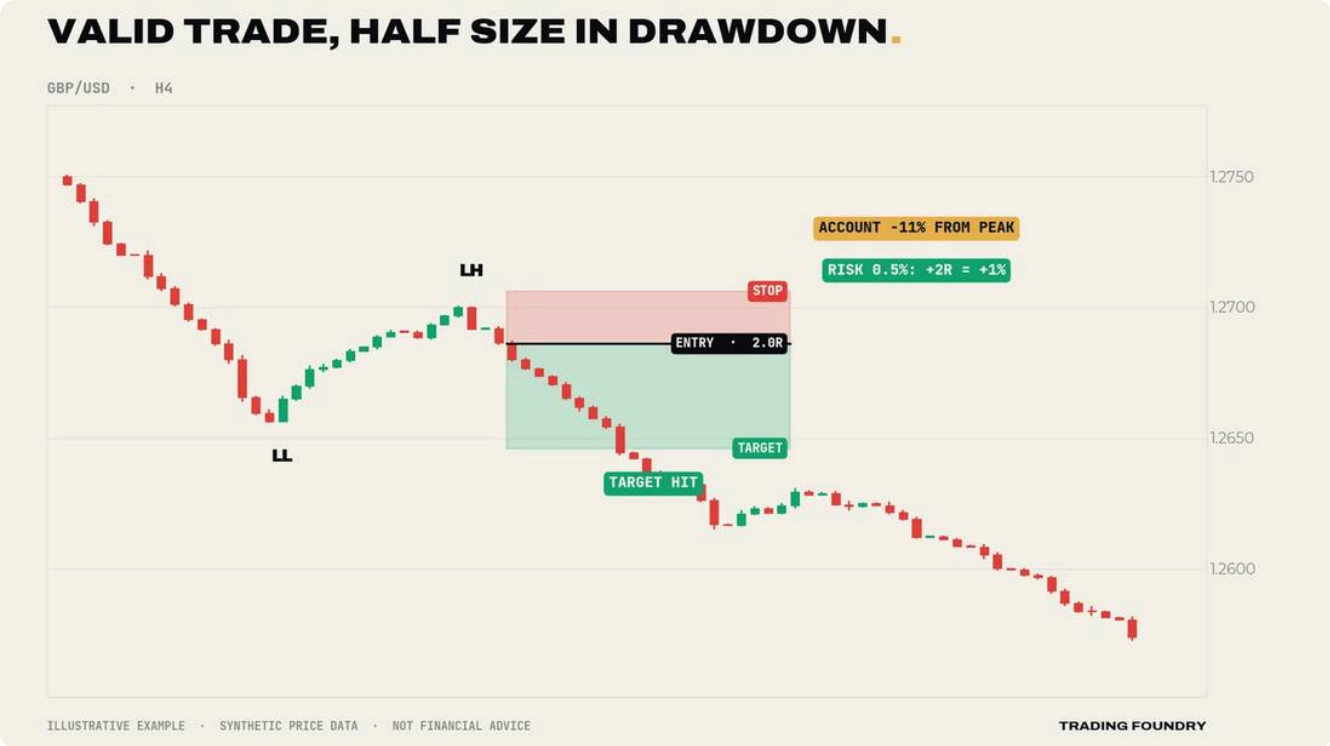
The weekly limit should sit above a normal bad week. Look at your journal's worst weeks. If a rule-following bad week is typically −4R, a weekly limit of −5R to −6R catches the abnormal ones without interrupting normal variance.

The peak limit should sit inside your realistic worst streak plus a margin. Lesson 5's streak table gives you the length of the run to expect; multiplied by your risk per trade, it gives you the drawdown a normal bad patch produces. Set the circuit breaker a little beyond that. If the breaker would trip during an ordinary streak, you will spend your life reviewing variance. If it sits far beyond any realistic streak, it will only trip once the damage is already serious.

Write all three down. Then, crucially, never change them during a drawdown. A limit you can renegotiate while losing is not a limit.

Cutting size in a drawdown

The fixed-percentage model already shrinks your size as the balance falls. Many professionals add a second layer: at a set drawdown (say −10% from the peak), they **halve** their risk per trade until they have recovered a set portion.



A clean short after a lower high. The trader is 11% below their equity peak, so the plan says 0.5% risk. The trade is still a full +2R — the method is unchanged — but it adds 1% instead of 2%. Slower, yes. But a further losing run at half size cannot dig the hole much deeper.

Why slow down when you are behind? Because you cannot tell, in the moment, whether the drawdown is ordinary variance or a sign that something has changed. Half size buys time to find out cheaply. If it was variance, the method recovers at half speed for a while. If something has changed, half size halves the cost of discovering it.

Recovering like a professional

When a peak-drawdown limit is hit:

1. **Stop.** No trades until the review is done.
2. **Review the journal, not the P&L.** Were the losing trades rule-following? Were losses −1R? Did conditions change (volatility, session behaviour)? Were limits respected?
3. **Classify.** Variance (rules followed, normal losses) — resume at reduced size. Execution problem (rules broken) — fix the behaviour first, possibly on a demo or minimum size. Method problem (rules followed, losses abnormal over a meaningful sample) — stop trading that method until retested.
4. **Return gradually.** Half size until half the drawdown is recovered, then full size.

Going deeper

Balance versus equity. Drawdown can be measured on closed balance or on floating equity (including open trades). Equity drawdown is the honest one — an open trade at −2R is a −2R drawdown whether you have

closed it or not. Prop firms almost always measure on equity, which matters in lesson 8.

Limits in R, not money. A daily limit of "£300" on a £10,000 account at 1% is 3R. After the account grows to £15,000 it is only 2R; after a fall to £7,000 it is over 4R. Express limits in R (or as a percentage) so they scale with the account.

Single-trade disasters. A daily limit cannot help if one trade loses 5R — via a gap, a missing stop, or a position several times too large. Hard stops at the broker, sizing checks before every order and a cautious approach to holding through major news and weekends handle that. The limits in this lesson assume each loss really is about −1R.



A long held into a major data release. The release candle falls more than 80 pips in one bar and the stop fills well below where it was placed — about −2R instead of −1R. Loss limits are built on the assumption that losses are near −1R; avoiding holding through high-impact releases keeps that assumption true.

Time stops for drawdowns. Some traders add a time-based rule: if the account has not made a new equity high in, say, three months of active trading, they run the full review even if no percentage limit has been hit. Slow bleeds are as dangerous as sharp falls, and they rarely trip a daily limit.

THE RULES

- Measure drawdown from the equity peak, not from your deposit.
- Daily loss limit (illustratively −3R): platform closes for the rest of the day.
- Weekly loss limit (illustratively −5R to −6R): stop until next week.
- Peak drawdown limit (illustratively −10%): pause, review the journal, then trade at half risk until half the drawdown is recovered.
- Never trade to 'win back' a loss, and never treat a limit as a budget.

Summary

- Drawdown is the fall from the equity peak to a later low.
- Recovery needs a larger gain than the loss: −20% needs +25%, −50% needs +100%.
- Daily, weekly and peak-drawdown limits, set in R or %, protect you from the trader you become after losses.
- Halving risk in a deep drawdown buys time cheaply while you find out whether it is variance or a real problem.

CHECK YOURSELF · ANSWERS AT THE BACK

1. An account grows from £10,000 to £12,000, then falls to £10,800. What is the drawdown?

   A. 0% — it is still above the deposit

   B. 8%

   C. 10%

   D. 12%

2. After a 40% drawdown, what gain is needed to return to the peak?

   A. 40%

   B. 50%

   C. 66.7%

   D. 100%

3. What is the main purpose of a daily loss limit?

   A. To guarantee a profitable week

   B. To stop the trader who has just taken several losses from making worse decisions

   C. To meet broker regulations

   D. To increase the win rate

4. A trader is at −2R for the day with a −3R daily limit. What should they do?

   A. Take one more trade, since they can 'afford' it

   B. Keep trading only valid setups, and stop if the limit is hit

   C. Double size to recover faster

   D. Stop for the week

5. Why express loss limits in R rather than a fixed sum of money?

   A. Because R is required by regulators

   B. So the limit scales with the account as it grows or shrinks

   C. Because money limits are illegal

   D. R limits are always larger

6. The peak-drawdown limit is hit and the review shows rules were followed and losses were all about −1R. What is the most appropriate classification?

   A. Method failure — abandon it

   B. Variance — resume at reduced size

   C. Execution problem — move to demo

D. Broker problem

Correlation — When Three Trades Are Really One.

MODULE 3 — PROTECTING THE ACCOUNT · LESSON 7

Work out your real exposure to each currency across open trades, and apply simple caps so that correlated positions cannot multiply your risk.

You have done everything right. Each trade risks exactly 1%. Each has a structural stop and a sensible target. You are long EUR/USD, long GBP/USD and long gold. Three separate setups, three separate decisions, 3% total risk.

Then a strong US data release hits, the dollar rallies across the board, and all three stops go in the same five minutes. You did not lose three separate 1% bets. You lost one 3% bet on the US dollar falling — a bet you never consciously decided to make.

That is **correlation risk**, and it is the blind spot of every per-trade risk rule. This lesson shows you how to see it and how to cap it.

Every forex trade is two trades

A currency pair is a price of one currency in terms of another. When you buy EUR/USD you are **buying euros and selling dollars**. When you buy GBP/USD you are **buying pounds and selling dollars**. The dollar leg is the same in both.

So the question is not "how many trades do I have open?" but **"what am I actually exposed to?"** Break every position into its two currencies and add them up.

OPEN TRADE (1% RISK EACH)	EUR	GBP	USD	JPY	GOLD
Long EUR/USD	+1		−1		
Long GBP/USD		+1	−1		
Short USD/JPY			−1	+1	
Long XAU/USD			−1		+1
Net exposure	+1	+1	**−4**	+1	+1

Four "different" trades. One dominant idea: the dollar falls. If the dollar rallies instead, all four can lose together — a 4% loss from a trader who believes they never risk more than 1%.

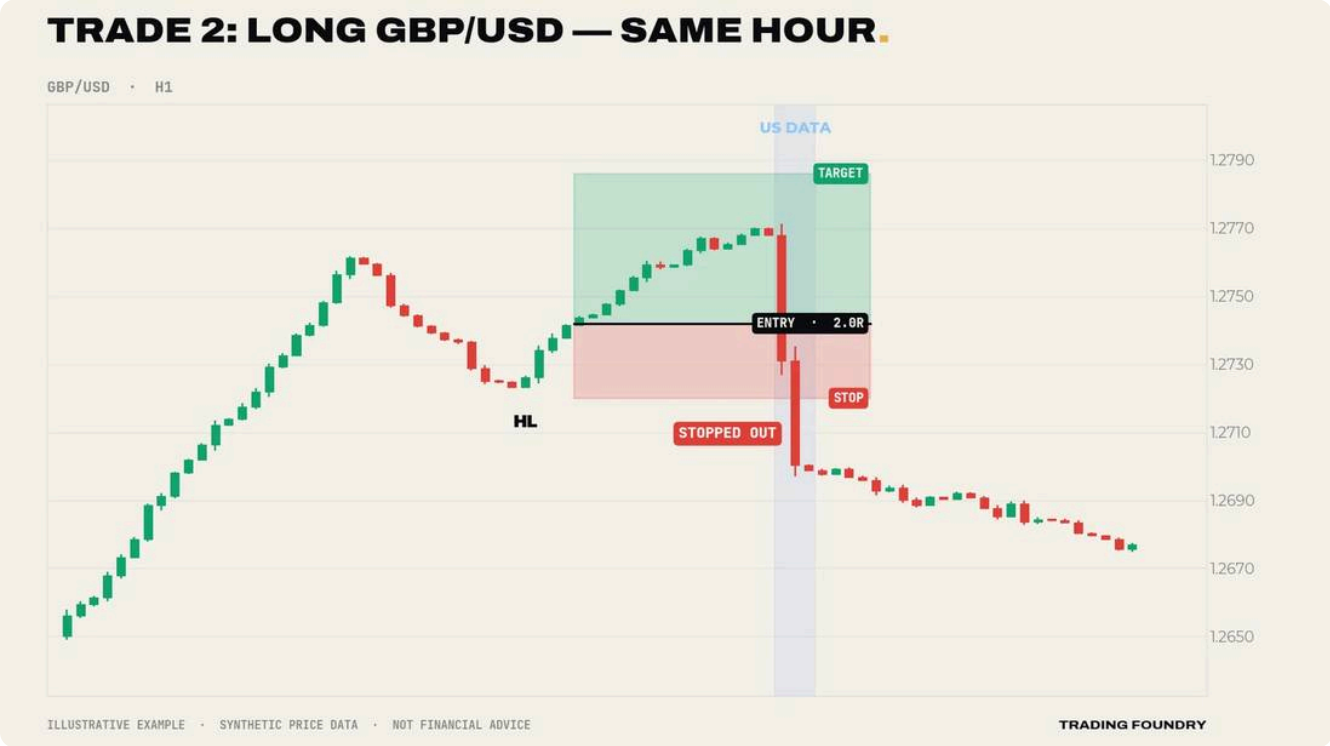
What it looks like on the chart

Here is the long EUR/USD trade. A clean pullback entry with a structural stop.



A textbook pullback long at 1% risk. It is going well until a US data release sends the dollar higher, and EUR/USD drops through the stop in two candles.

And here is the long GBP/USD trade taken an hour later, also at 1% risk, also a valid setup on its own chart.



A separate chart and a separate setup — but the same short-dollar idea. The same release stops this trade out in the same candles. Two 1% trades, one 2% loss.

Neither trade was bad. The problem is that together they were one trade at double size.

KEY POINT

Risk is per idea, not per chart. Two trades that win and lose for the same reason are one position.

Correlation in plain English

Correlation measures how closely two prices move together, on a scale from +1 to −1:

- **Close to +1:** they usually move in the same direction (EUR/USD and GBP/USD are frequently strongly positive).
- **Close to −1:** they usually move in opposite directions (EUR/USD and USD/CHF are frequently strongly negative, because the dollar is on opposite sides of the two quotes).
- **Close to 0:** little consistent relationship.

Two warnings. First, a **negative** correlation does not mean a hedge if you trade the pairs in opposite directions: long EUR/USD and *short* USD/CHF are both short dollars, so they behave like the same trade. Second, correlations **change**. They drift over weeks and months, and in sharp risk-off moves many relationships suddenly tighten — the moment you most need diversification is the moment it tends to disappear. Do not rely on a correlation number you looked up once; rely on the currency breakdown, which never changes.



A trader long EUR/USD adds a short on USD/CHF, thinking two different pairs spread the risk. Both trades are short the dollar. When the dollar rallies, USD/CHF rises through the short's stop at the same moment EUR/USD falls through the long's.

Simple caps that fit on an index card

You do not need a correlation matrix. You need three rules and a currency breakdown before every new trade. Illustrative values for a 1% trader:

1. **Max 2% total risk on any single currency** (counting each trade's 1% against both of its currencies, in the direction of the exposure).
2. **Max 4–5% total open risk** across all positions combined.
3. **A second trade on the same theme goes on at half size** — or not at all.

Applied to the table above: the trader was −4 on USD, double the cap. Under these rules, the second short-dollar trade could go on at 0.5%, and the third and fourth could not be taken until earlier trades were closed or moved to break-even (a trade with its stop at entry no longer carries risk).

COMMON MISTAKE

Counting a trade at break-even as still "using" risk, or — far more often — forgetting that a trade still at its original stop is fully at risk. Only stops moved to entry or beyond release risk for new trades.

The 60-second exposure check

Here is the routine, run before every new order. It takes a minute once it is a habit.

1. **List open trades** with the risk each still carries. A trade at its original stop carries its full risk. A trade with its stop at entry carries none. A trade with its stop partly moved carries the remaining distance, in R.
2. **Split each into two currencies** — plus for the currency you are long, minus for the one you are short — and write the risk against both.
3. **Add the new trade** to the table.
4. **Check the caps.** Any single currency above 2%? Total open risk above 5%? If so, reduce the new trade's size until it fits, or skip it.

A worked, hypothetical example. You hold:

- Long EUR/USD, 1% at risk (stop at original level).
- Short GBP/JPY, stop moved to entry (0% at risk).

You want to go long AUD/USD at 1%. Breakdown: EUR +1, USD −1 from the first trade; nothing from the second; AUD +1, USD −1 from the new one. Net USD would be −2% — right on the cap — and total open risk 2%, well inside 5%. The trade is permitted, but it is your second short-dollar idea, so the half-size rule applies: 0.5%, bringing USD to −1.5%.

Now suppose you also wanted to buy gold. That is another short-dollar expression. USD would go to −2.5% at full size, over the cap. At 0.5% it would reach exactly −2%. A sensible trader asks at this point whether they

really have three separate ideas, or one idea — "the dollar is weak" — expressed three ways. If it is one idea, it deserves one idea's worth of risk.

Why this matters more than it seems

Correlation risk is especially sneaky because it grows out of good behaviour. A trader with a clear view on the dollar will naturally find valid setups in several dollar pairs at once — the charts all agree because they share a currency. Each setup passes every rule on its own chart. Nothing feels reckless. And yet the account is now carrying a concentrated bet that no single-trade rule was designed to catch.

The fix is not to stop trading related pairs. It is to treat them as one budget. Pick the cleanest chart of the theme, give it full size, and let any second expression share the remaining allowance.

Practice drill — trade or no trade?



You are already long EUR/USD at 1% risk, stop still at its original level. GBP/USD now offers a valid pullback long with a bullish confirmation candle. Your caps are 2% per currency and 5% total. Take it? At what size?

THE REVEAL



THE ANSWER

If you take it, take it at half size (0.5%) — or skip it. It is a second short-dollar trade, so together with EUR/USD it brings your USD exposure to −1.5%, inside the 2% cap. At full size you would be at −2%, right on the cap, and effectively doubling one idea. Here the dollar rallied and both trades were stopped: at half size the combined loss was 1.5%, not 2%. The setup was fine; the exposure was the decision.

Going deeper

Hidden correlations beyond forex. Gold usually trades against the dollar. Stock indices and commodity currencies (AUD, NZD, CAD) often move together in risk-on and risk-off phases, and the yen and Swiss franc often strengthen together when markets are stressed. If you trade a mix of instruments, add those relationships to your breakdown as "themes" — risk-on, risk-off, short dollar — and cap each theme the same way you cap a currency.

Same pair, multiple timeframes. A swing trade and a day trade in the same direction on the same pair are one position. Add the risks together. Opposite-direction trades on the same pair partly cancel, which often means one of them should not exist.

Pyramiding. Adding to a winning trade is a correlated trade with yourself. It is only sound if the original trade's stop has been moved so that the *combined* position still risks no more than your cap. Adding to a losing trade ("averaging down") increases risk on an idea the market is currently disagreeing with, and is excluded by almost every professional risk plan.

Event clustering. Even uncorrelated trades become correlated around major scheduled events. Before a central bank decision or a major data release, count every position exposed to that currency as one block and

check it against your cap — or reduce exposure before the event.

THE RULES

- Break every open trade into its two currencies before adding a new one.
- Cap risk on any single currency (illustratively 2%) and total open risk (illustratively 4–5%).
- A second trade on the same theme goes on at half size, or not at all.
- Count same-direction trades on one pair across timeframes as one position. Never average down.

Summary

- Every forex trade is long one currency and short another; your real risk is the net exposure per currency.
- Correlated trades lose together, so three 1% trades on one idea are a single 3% trade.
- Correlations change and tighten in stress; the currency breakdown does not.
- Simple caps — per currency, total open risk and half size on a second trade — fix most of the problem.

CHECK YOURSELF · ANSWERS AT THE BACK

1. You are long EUR/USD and long GBP/USD at 1% each. What is your net USD exposure?

   A. 0%

   B. 1% long

   C. 2% short

   D. 2% long

2. A trader long EUR/USD adds a short USD/CHF position 'as a hedge'. What have they actually done?

   A. Reduced their dollar exposure

   B. Increased their short-dollar exposure

   C. Created a perfect hedge

   D. Added a trade unrelated to the dollar

3. Why should you not rely on a correlation coefficient you looked up last year?

   A. Correlations are always zero

   B. Correlations change over time and tend to tighten in stressed markets

   C. Brokers publish false numbers

   D. Correlation only applies to stocks

4. Your cap is 2% per currency. You have one long EUR/USD trade at 1% with its stop at entry, and want to go long GBP/USD at 1%. Is this within the cap?

   A. No — it would be −2% USD plus the open trade

   B. Yes — the EUR/USD trade at break-even no longer carries risk, so USD exposure is −1%

   C. Only on a lower timeframe

   D. Only if you add a USD/CHF short

5. Which statement about averaging down into a losing trade is correct?

   A. It improves the average price, so it reduces risk

   B. It increases risk on an idea the market is currently disagreeing with

   C. It is the same as pyramiding

   D. It is required by most risk plans

6. In the drill, what was the key decision?

   A. Whether the GBP/USD chart showed a valid setup

   B. How much total short-dollar exposure to carry

   C. Whether to move the EUR/USD stop

D. Which timeframe to use

Prop-Firm Challenges Through a Risk Lens.

MODULE 3 — PROTECTING THE ACCOUNT · LESSON 8

Read a prop-firm challenge's rules as a risk specification, and size your trades to its drawdown limits rather than to its profit target.

Proprietary trading ("prop") firm challenges are everywhere. Pay a fee, trade a simulated account to a profit target without breaking the rules, and you may be offered a funded account with a share of the profits. The marketing focuses on the profit target and the payout. This lesson ignores both and reads the rules the way a risk manager would — because almost every challenge that fails, fails on the drawdown rules, not the target.

Nothing here is a recommendation to take a challenge or to use any particular firm. Rules vary widely and change often. The aim is to give you a way to read *any* rule set before you pay, and to size your trading to it if you go ahead. The companion film, *How To Read A Prop Firm Challenge Before You Pay*, walks through the same reading process on screen.

The rule sheet, translated

A typical challenge — illustrative numbers only — looks something like this:

RULE	TYPICAL WORDING	WHAT IT REALLY MEANS FOR RISK
Profit target	8–10%	The finish line. Has no bearing on how much you should risk per trade.
Maximum daily loss	4–5%	A hard daily limit. Often measured on **equity**, including open trades, from the day's starting balance or equity.
Maximum overall loss	8–12%	Your real account size. Break it once and the challenge is over.
Static or trailing	Varies	Static: the floor stays at, say, −10% from the start. Trailing: the floor rises as your balance or equity rises.
Minimum trading days	0–10	Prevents passing in one lucky trade; can tempt overtrading.
Time limit	None to 30+ days	Time pressure encourages oversizing late on.
Other rules	News, weekend holding, consistency, lot caps	Each can fail you independently. Read every line.

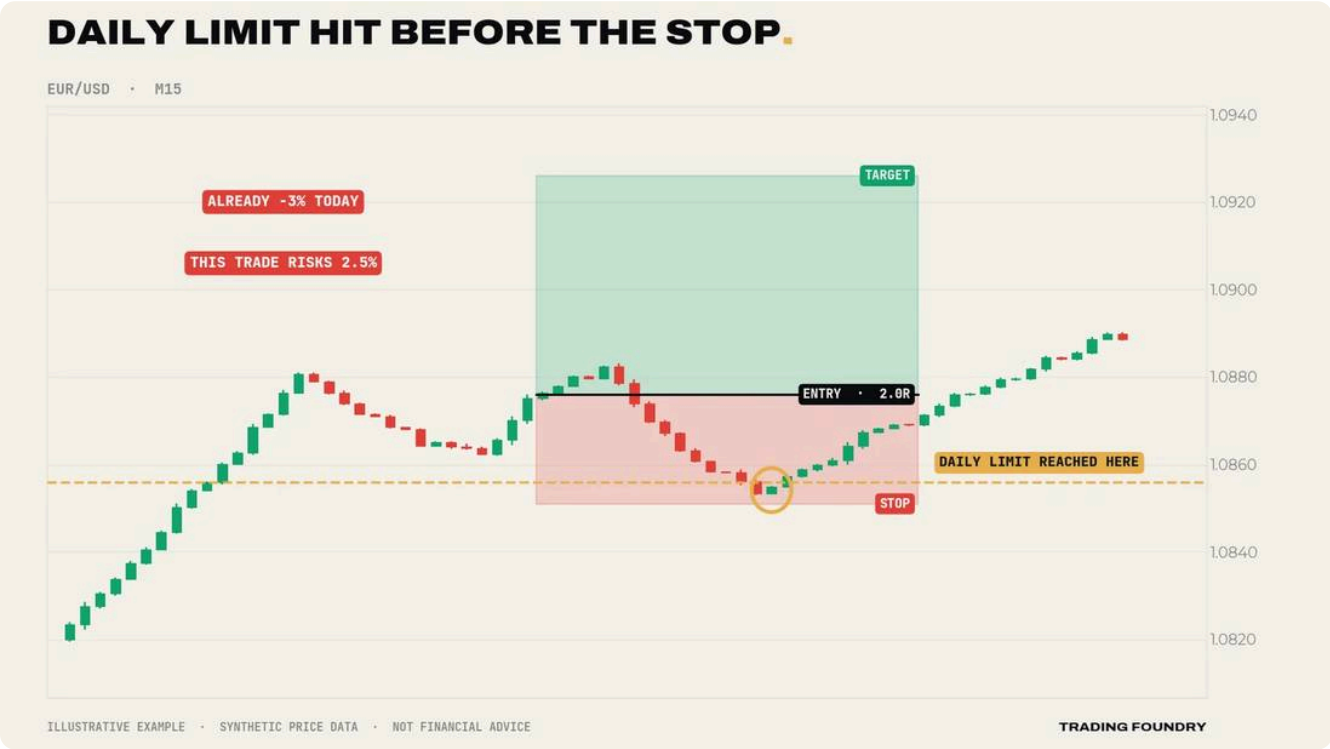
The most important line on that sheet is the maximum overall loss. Think of it this way: **a £100,000 challenge with a 10% maximum loss is a £10,000 account with a £100,000 position limit.** Size your risk to the £10,000, not the £100,000.

KEY POINT

In a challenge, your risk budget is the distance to the drawdown floor — not the account's headline size and not the profit target.

The daily limit counts open trades

Many firms measure the daily loss on equity. That means an open trade's floating loss counts toward the limit *before* it hits your stop. If your stop is beyond the daily limit, the firm's limit — not your stop — closes your challenge.



The trader is already down 3% on the day against a 5% daily limit, then opens a trade risking 2.5%. Only 2% of room is left, so the challenge fails when price is 20 pips against them — before the 25-pip stop is reached. Price then recovers and runs higher — without them.

The fix is arithmetic, done before entry: **remaining daily room = daily limit − today's losses − risk already open.** The new trade's risk must fit inside it with a margin to spare for spread, slippage and the gap between "touch" and "fill".

Static versus trailing drawdown

A **static** floor stays where it started. With a 10% maximum loss on a £100,000 account, the floor is £90,000 forever. Every gain adds to your buffer.

A **trailing** floor moves up with your highest balance (or, in stricter versions, your highest *equity*, including open profit). Gains do not add buffer; they lift the floor behind you. If the trail follows floating equity, an open trade

that goes well and then comes back can cost you buffer without ever closing at a loss.



On an equity-trailing account, this trade's open profit of +3R (3% at 1% risk) lifts the drawdown floor by 3%. Price then returns to entry. The trade closes flat — yet the trader's remaining buffer has shrunk by three percentage points. Trailing rules reward taking profit and punish giving open profit back.

On trailing accounts, rules about partial profits and moving stops matter far more than on a normal account. Decide them before you start, and read exactly what the floor trails — balance, end-of-day equity or intraday equity — because each behaves very differently.

Size to the floor, not the target

The temptation in a challenge is to work backwards from the target: "I need 8% in 30 days, so I need about 3% a week, so I should risk 2% a trade." That is exactly backwards. Size from the floor.

A simple test: **how many full losses in a row can you take before you fail?** With a 10% maximum loss:

RISK PER TRADE	CONSECUTIVE LOSSES TO FAIL (APPROX.)	LOSSES TO HIT A 5% DAILY LIMIT
0.5%	about 20	10
1%	about 10	5
2%	5	2–3
3%	3–4	1–2

Lesson 5 showed that a run of eight losses is a realistic event for a method winning 45% of the time. At 2% risk, that run fails the challenge. At 1%, you survive it — bruised, but alive.

Now a **hypothetical** simulation to show the trade-off. Imagine a challenge with an 8% target and a static 10% maximum loss, traded for up to 60 trades. Each trade is a random draw from one of three imaginary methods. The percentages below come from simulating many thousands of such challenges — they illustrate the maths of the rules, not the results of any real trader or firm:

HYPOTHETICAL METHOD	RISK PER TRADE	PASSED	FAILED	NEITHER WITHIN 60 TRADES
Positive edge (+0.26R per trade)	0.5%	58%	under 1%	42%
	1%	86%	4%	10%
	2%	82%	18%	0%
No edge (0R per trade)	1%	30%	20%	50%
	3%	56%	44%	0%
Negative edge (−0.1R per trade)	1%	12%	45%	43%
	3%	40%	60%	0%

Three lessons hide in that table.

1. **With a genuine edge, moderate risk is best.** 1% passes most often; 2% fails more than four times as often, for barely any gain in speed.
2. **Without an edge, bigger risk "passes" more often — and fails more often.** It turns the challenge into a coin toss. That is why oversizing looks like it works for some people: survivors talk; the failures quietly buy another attempt.
3. **The rules cannot give you an edge.** No sizing turns a negative-expectancy method into a reliable pass.

COMMON MISTAKE

Treating the challenge fee as a reason to gamble. "It's only £300, so I'll go big." The fee is the cost of the attempt; oversizing just converts it into a lottery ticket and teaches habits that will fail a funded account just as quickly.

The last-day gamble

The classic challenge failure is the end-game trade: a few days left, a few percent short of the target, and one oversized position to "get it done".



Up 5.5% against an 8% target with two days left, the trader buys gold in a choppy range at 5% risk. There is no structure here and no reason for the target. One normal loss puts them at the daily limit and close to the overall floor. The rule-following alternative — normal size, or simply running out of time — costs only the fee.

Running out of time is a cheap failure. Breaking the drawdown rules after weeks of good work is an expensive one, because it also rewards the worst habit in trading.

Going deeper

Reading for traps. Before paying, read the rules for: how the daily loss is calculated (balance or equity; from what reference point; at what time zone's midnight), whether the overall floor trails and what it trails, whether stops are required, news and weekend restrictions, consistency rules (for example, no single day may exceed a set share of total profit), maximum lot sizes and any restrictions on copy trading or particular strategies. Each one can end a challenge independently of your trading quality.



A long held through a high-impact release that this (illustrative) challenge restricts. The spike carries it to a 3R target — and the firm voids the profit or fails the account under its news rule. A trade can win on the chart and still lose under the rule sheet, which is why every line of the rules has to be read before the first trade.

Build a challenge-specific risk plan. Your normal plan's limits should sit *inside* the firm's. If the firm's daily limit is 5%, your own daily limit might be −2R to −3R at 0.5–1% risk, so that you never come close. If the overall floor is 10%, your own peak-drawdown circuit breaker might be −5%, triggering half size.

Funded is not finished. The same rules usually apply on the funded account, often with the drawdown measured from a new starting point. Traders who pass by oversizing tend to lose the funded account the same way. The habits that pass sustainably are the habits that keep the account.

THE RULES

- Treat the maximum overall loss as your account size; size every trade to it.
- Before each trade: remaining daily room = daily limit − today's losses − open risk. The new trade must fit with a margin.
- Know exactly what a trailing floor trails, and plan profit-taking accordingly.
- Set your own limits inside the firm's limits.
- Never raise size to reach the target faster or before a deadline.

Summary

- Read a challenge's rule sheet as a risk specification. The drawdown floor is your real account.
- Equity-based daily limits count open losses and can end a challenge before your stop is hit.

- Trailing floors rise with your peak and can shrink your buffer on trades that close flat.
- Hypothetically, a positive-edge method passes most often at moderate risk; higher risk mainly increases failures. No sizing creates an edge.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A £50,000 challenge has a 10% maximum overall loss. For sizing purposes, what is your real risk capital?

   A. £50,000

   B. £5,000

   C. £4,000

   D. £10,000

2. You are –2% on the day against a 4% equity-based daily limit, with no trades open. What is the most you could risk on a new trade before any safety margin?

   A. 4%

   B. 2%

   C. 1%

   D. 6%

3. On an account where the floor trails intraday equity, a trade reaches +2R open profit at 1% risk and then closes at entry. What happened to your buffer?

   A. Unchanged — the trade closed flat

   B. It grew by 2%

   C. It shrank by about 2%

   D. The challenge failed

4. In the hypothetical simulation, what happened when a no-edge method increased risk from 1% to 3%?

   A. Passes and failures both increased

   B. Only passes increased

   C. Only failures increased

   D. Nothing changed

5. Two days before the deadline you are +5% against an 8% target. Which response fits a sound risk plan?

   A. Risk 3% on the next setup to reach the target

   B. Keep normal size and accept running out of time if necessary

   C. Open several correlated trades at once

   D. Remove stops to avoid the daily limit

6. Which statement about the profit target is correct from a risk point of view?

   A. It should set your risk per trade

   B. It has no bearing on how much you should risk per trade

C. It should be divided by your number of trades to set risk

D. It replaces the daily limit

The Trade Journal and the Weekly Review.

MODULE 4 — RECORDS AND THE PLAN · LESSON 9

Keep a trade journal in R that records rule adherence as well as results, and run a weekly and monthly review that tells you exactly what to fix.

Every number in this course so far — win rate, average win, average loss, expectancy, streak length, drawdown — has to come from somewhere. That somewhere is your journal. Without one, your "edge" is a feeling, your risk rules are intentions, and every review is a conversation with your memory, which is the least reliable witness in trading.

This lesson shows you what to record, how to grade each trade, and how to run a short weekly review that turns a list of trades into a list of decisions.

What to record

Keep it short enough that you will actually fill it in — every trade, the same day. The essential fields:

FIELD	EXAMPLE	WHY IT MATTERS
Date, session	14 May, London	Finds time-of-day patterns
Instrument, direction	EUR/USD, long	Exposure and pair-level stats
Setup name	Trend pullback	Stats per setup, not just overall
Entry, stop, target	1.0855 / 1.0830 / 1.0905	Defines planned R
Risk % and size	1%, 0.50 lots	Proves sizing was calculated
Result in R (after costs)	+2.0R	The only result that is comparable
Rules followed?	Yes / No (which rule)	Separates skill from luck
Grade	A / B / C	Quality, independent of outcome
Note and screenshot	"Clean HL, waited for close"	What you saw, in your words, at the time

Optional but valuable: the furthest the trade went in your favour before closing (**maximum favourable excursion**, MFE) and against you (**maximum adverse excursion**, MAE), both in R. They tell you whether your stops and targets are well placed.

Grading: separate the decision from the outcome

Give every trade a grade for **how well it followed your plan**, not for whether it made money:

- **A** — every rule followed: valid setup, correct size, stop and target as planned, managed as written.
- **B** — valid setup, minor execution slip: early exit, late entry, small sizing error.

- **C** — rule broken: no valid setup, oversized, stop moved away, revenge trade, limit ignored.

Then, every week, you can ask the two questions that matter: *how did my A trades do?* (that is your method) and *what did my B and C trades cost?* (that is your discipline).

Here are three journal screenshots from a hypothetical week.



Trend pullback, stop under the higher low, 2R target at structure, sized by the formula and left alone. Logged as +2.0R, grade A. If this had lost, it would still be grade A — the grade measures the decision, not the result.



A valid setup and correct size, but the trader closed on the first wobble at +0.5R. Price reached the 2R target later. Logged honestly as +0.5R with a B grade and a note: 'exit rule broken — nervous after two losses'. That note is worth more than the trade.



The planned stop was 20 pips. When price approached it, the trader moved it 12 pips higher 'to give it room' and was stopped there for −1.6R. Price then fell, which makes it tempting to call the stop move 'nearly right'. The journal calls it what it was: a rule breach that cost 0.6R more than the plan.

KEY POINT

Grade the decision, not the outcome. A rule-following loss is an A; a rule-breaking win is a C.

The weekly review (30 minutes)

Once a week, at a fixed time and never on a trading day if you can avoid it:

1. **Count the trades and their grades.** How many A, B and C?
2. **Score adherence.** A trades as a percentage of all trades. This is your main weekly score — more important than P&L.
3. **Add up R by grade.** Total R on A trades, and total R on B and C trades.
4. **Price the mistakes.** For each B or C trade, write the difference between what the plan would have produced and what you actually got. That number is your **cost of mistakes** for the week.
5. **Check the limits.** Were daily and weekly limits respected? Exposure caps?
6. **Write one change.** One behaviour to work on next week — not a rule change, a behaviour.

Here is a hypothetical week, summarised:

TRADE	GRADE	RESULT	PLAN WOULD HAVE GIVEN	MISTAKE COST
1	A	+2.0R	+2.0R	—
2	A	−1.0R	−1.0R	—
3	B	+0.5R	+2.0R	−1.5R
4	A	−1.0R	−1.0R	—
5	C	−1.6R	−1.0R	−0.6R
6	C	−1.0R	0R (no valid setup)	−1.0R
7	A	+2.0R	+2.0R	—
Total	4 A / 1 B / 2 C	**−0.1R**	**+3.0R**	**−3.1R**

The week finished slightly negative. The A trades alone made +2R. The plan, followed perfectly, would have made +3R. Discipline cost 3.1R — more than the entire result. This trader does not need a new strategy. They need to fix three behaviours, and the journal has named every one of them.

COMMON MISTAKE

Reviewing only the P&L. A red week of A-grade trades is a good week: you executed, and variance did the rest. A green week full of C trades is a warning — it rewarded habits that will eventually cost you far more.

The monthly review

Once a month, with at least 30 trades in the sample where possible, step back and calculate the numbers from lesson 4 — **separately for A-grade trades and for all trades**:

- Win rate, average win, average loss, expectancy in R.
- Results by setup, by instrument and by session.
- Longest losing streak and maximum drawdown against your plan's expectations.

The gap between "A-grade expectancy" and "all-trade expectancy" is the clearest measure of what your discipline is worth. If A-grade expectancy itself is negative over a large sample, the method — not your execution — needs work, and that is a decision for a calm review, not a Tuesday afternoon.

Making the journal stick

Most journals die in the third week. They start detailed and enthusiastic, become a chore, and quietly stop — usually during a losing run, which is exactly when the record is most valuable. A few habits keep them alive.

Log before you look at the result. Fill in the plan fields — setup, entry, stop, target, size, risk, grade of the setup — at the moment you place the order. Then the only thing left to add later is the outcome. A journal written after the result is always coloured by it: losing trades are suddenly remembered as "marginal setups" and winners as "obvious".

Take two screenshots. One at entry, with your levels drawn on the chart. One at exit. Together they show what you knew at the time and what happened next, and they stop hindsight from rewriting the story.

Keep the format fixed. A simple spreadsheet with one row per trade is enough. Add three formula cells at the top — total R, win rate and expectancy (sum of R divided by number of trades) — and the monthly review almost writes itself.

Never skip the bad days. A journal that only contains the trades you are comfortable recording measures nothing. The C-grade trades are the most important rows in the file, because they are the ones that tell you what to fix.

Review in R, talk in R. When you describe your week to yourself or to anyone else, use R and adherence, not pounds. "Five A trades, one C, +2.3R, mistake cost 0.8R" is information. "Up £230" is a mood.

Going deeper

MFE and MAE. If you record how far each trade went for you (MFE) and against you (MAE) before closing, patterns appear. If many losing trades reached +1.5R before reversing, your targets may be too far for the method, or a partial-profit rule may be worth testing. If many winners first went to −0.9R, your stops are about right; if almost none went beyond −0.4R, your stops might be wider than needed — test a tighter one on paper first.



This trade reached +1.7R open profit before reversing to the stop. One example proves nothing. But if the journal shows that a large share of losers reached +1.5R first, a 2R target or a partial-profit rule is worth testing — and the journal, not a hunch, is what tells you so.

Tagging emotions. A one-word emotional tag at entry — calm, rushed, bored, frustrated, confident — often explains more C-grade trades than any market factor. Most traders find their C trades cluster around one or two states. Those states become warning lights in the risk plan.

Change control. When the review suggests a rule change, write it down with the date and the reason, test it on a meaningful sample (paper, minimum size or replay), and only then adopt it. Never change a rule during a drawdown or on a trading day. The history of your rule changes is itself useful: if you keep loosening the same rule, that is where your edge is leaking.

THE RULES

- Log every trade the same day, in R after costs, with a grade for rule adherence.
- Grade the decision, not the outcome.
- Run a 30-minute weekly review: adherence score, R by grade, cost of mistakes, one behaviour to fix.
- Run a monthly statistical review; compare A-grade expectancy with all-trade expectancy.
- Change rules only through a written, dated, tested process — never during a drawdown.

Summary

- The journal is where every risk number in this course comes from; record each trade in R with its rule-adherence grade.

- Grade A, B or C on decisions, not outcomes, so you can separate the method from your discipline.
- The weekly review prices your mistakes in R and picks one behaviour to fix.
- The monthly review compares A-grade expectancy with all trades; MFE and MAE refine stops and targets on evidence.

CHECK YOURSELF · ANSWERS AT THE BACK

1. A trade followed every rule and lost 1R. What grade does it get?

   A. C, because it lost

   B. B, because it lost

   C. A, because every rule was followed

   D. No grade — losing trades are not graded

2. A trader took a trade with no valid setup and it made +2R. How should it be graded?

   A. A — it made money

   B. C — a rule was broken

   C. B — it was only a small error

   D. It should not be logged

3. In the hypothetical week, what did the B and C trades cost compared with following the plan?

   A. −0.1R

   B. −1.0R

   C. −3.1R

   D. +3.0R

4. Which is the main score for a weekly review?

   A. Total profit in pounds

   B. Number of trades

   C. Rule adherence — the share of A-grade trades

   D. The biggest winner

5. Many of your losing trades reached +1.5R before reversing to the stop. What is a sensible response?

   A. Move stops further away

   B. Test a closer target or a partial-profit rule on a meaningful sample

   C. Double risk on the next trade

   D. Ignore it — MFE is irrelevant

6. When should a rule in your risk plan be changed?

   A. Immediately after a losing day

   B. During a drawdown, to stop the losses

   C. After a written, dated, tested review — never during a drawdown

   D. Whenever a new strategy video suggests it

Capstone — Your Written Risk Plan.

MODULE 4 — RECORDS AND THE PLAN · LESSON 10

Write a complete one-page risk plan, run the full pre-trade routine on three worked trades, and apply the plan when the answer is 'no trade'.

Everything in this course now comes together into one document: a **written risk plan**. Not a manifesto and not a list of good intentions — a single page of numbers and rules that governs every trade you take, drafted while you are calm, so that no decision that matters is ever made while you are emotional.

The writing matters. An unwritten rule is a preference, and lessons 5 and 6 showed what happens to preferences under pressure: they get negotiated. A written rule can still be broken, but it cannot be quietly blurred. The breach is visible, it goes in the journal, and it can be fixed.

This lesson gives you the template, the step-by-step routine, three fully worked trades (one of them a loser), a final drill, the passport and the complete checklist.

The eight sections of the plan

Your plan answers eight questions, a sentence or two each. The answers below are **illustrative** — yours must come from your own testing, tolerance and journal.

1. Risk per trade. "1% of current balance, measured to the stop. 0.5% while in a drawdown of 10% or more from the equity peak." *(Lessons 1 and 6.)*

2. Sizing procedure. "Stop placed first by analysis. Size = money at risk ÷ (stop pips × pip value per lot), converted to GBP, rounded down, reverse-checked before entry. Spread added to stops under 15 pips." *(Lesson 2.)*

3. Minimum trade quality. "Only setups from my tested playbook. Stop at a genuine invalidation level; honest first target of at least 1.5R. Otherwise, no trade." *(Lesson 3.)*

4. Exposure caps. "Max 2% risk on any one currency. Max 5% total open risk. A second trade on the same theme at half size." *(Lesson 7.)*

5. Loss limits. "Daily −3R: platform closed. Weekly −6R: stop until Monday. −10% from equity peak: pause, formal review, half risk until half the drawdown is recovered." *(Lesson 6.)*

6. Stop and exit discipline. "Hard stop at the broker on every trade, placed with the order. Stops move only towards the trade. Exit by the written rule only. No holding through high-impact releases on my traded currencies." *(Lessons 3, 4 and 6.)*

7. Journal and review. "Every trade logged the same day in R after costs, with grade and emotional tag. Weekly 30-minute review on Saturday; monthly statistical review." *(Lesson 9.)*

8. Breach protocol. "Any broken rule: close the position if still open, log the breach, stop trading for the day. Three breaches in a month: next month at 0.5% risk." *(Because a plan without consequences is a poster.)*

> KEY POINT
> If a rule is not written down with a number in it, it is not a rule yet.

The pre-trade routine, step by step

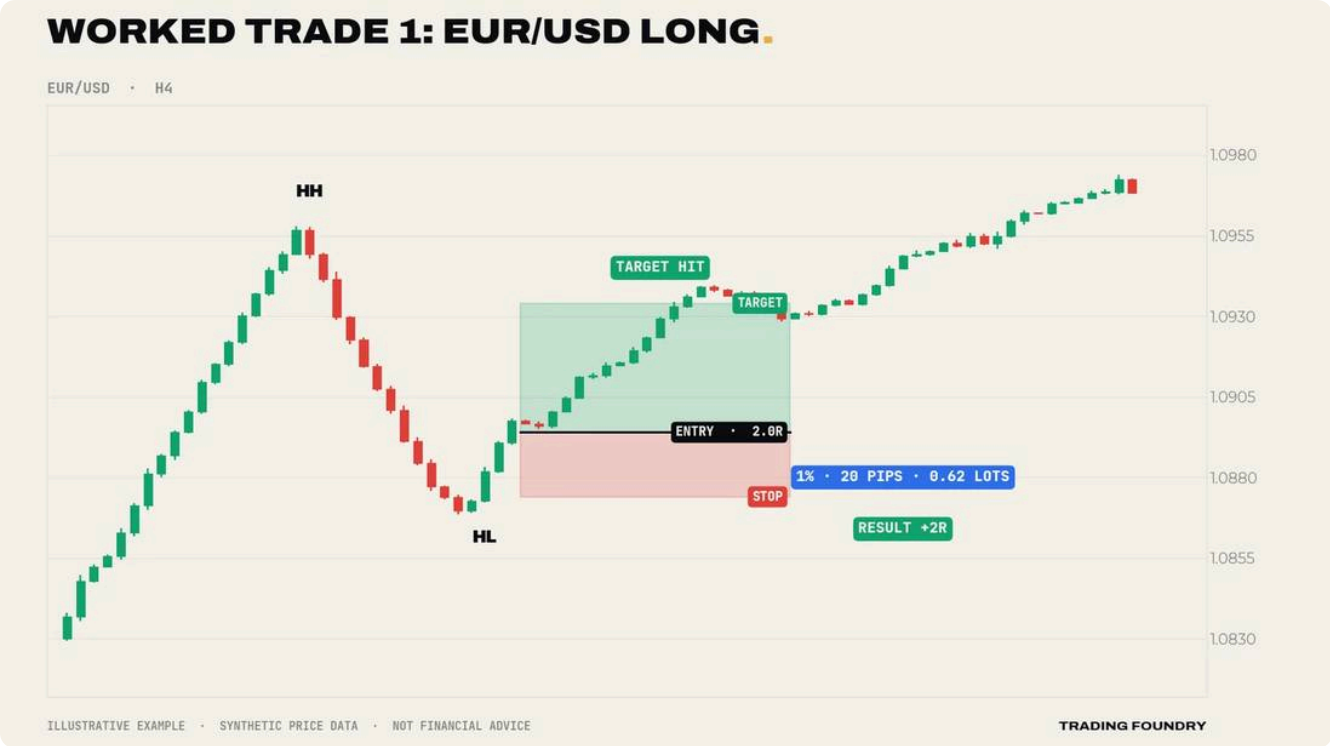
This is the playbook. Every trade, every time, in this order:

1. **Status check.** Am I inside my daily and weekly limits? Am I in a drawdown that changes my risk percentage? Any breach today?
2. **Setup check.** Is this a setup from my written playbook, on a chart I would be happy to show in my journal?
3. **Stop.** Where is the idea wrong? Place the stop there, plus a buffer for spread.
4. **Target.** Where can price realistically go? Is the honest first target at least my minimum R?
5. **Exposure.** Break the trade into currencies. Does it fit the per-currency and total caps? If it is a second trade on a theme, halve it.
6. **Size.** Money at risk ÷ (stop pips × pip value), in one currency, rounded down. Reverse-check.
7. **Event check.** Any high-impact release on either currency before the trade is likely to resolve?
8. **Enter with the stop attached.** Log the plan fields immediately.

Any "no" ends the process. Flat is a position.

Worked trade 1 — EUR/USD long (winner)

Status: balance £10,000, no drawdown, no trades today. Risk 1% = **£100**.



Uptrend, higher low, bullish close off the pullback. Stop 20 pips below entry, beneath the higher low. First target at 2R, still below the prior high. Sized to £100, reverse-checked, entered with the stop attached — and closed at target for +2R.

- **Setup:** trend pullback; higher low held; bullish confirmation close. Valid.
- **Stop:** 20 pips, beneath the higher low (1.0894 entry, 1.0874 stop).
- **Target:** 40 pips (1.0934), 2R. Still about 20 pips below the prior high, so the market has clear room to get there. Passes the 1.5R minimum.
- **Exposure:** no open trades. EUR +1%, USD −1%. Inside caps.
- **Size:** £100 × 1.2500 = $125. $125 ÷ (20 × $10) = 0.625 → **0.62 lots**. Reverse check: 0.62 × $10 × 20 = $124 = £99.20. ✔
- **Events:** none scheduled on EUR or USD before the likely resolution.
- **Result:** target hit. +$248 = about **+£198**, logged as **+2.0R, grade A**. Balance ≈ £10,198.

Worked trade 2 — USD/JPY short (loser)

Status: balance £10,198; inside all limits. Risk 1% = **£101.98**.



A valid short after a lower high, stop 35 pips above entry beyond the high, 2R target at the prior low. Price drifted lower, then reversed and took the stop. Loss: −1R, exactly as planned. Graded A — the trade was right to take, and the loss is part of the method's expectancy.

- **Setup:** downtrend; lower high; bearish close. Valid.
- **Stop:** 35 pips above entry (150.80 entry, 151.15 stop), beyond the lower high plus spread buffer.
- **Target:** 70 pips (150.10) at the prior low area, 2R.
- **Exposure:** no other open trades. USD −1%, JPY +1%. Inside caps.
- **Size:** £101.98 × 187.50 (illustrative GBP/JPY) = ¥19,121. ¥19,121 ÷ (35 × ¥1,000) = 0.546 → **0.54 lots**. Reverse check: 0.54 × ¥1,000 × 35 = ¥18,900 = £100.80. ✔
- **Result:** stopped out. **−1.0R, grade A**. Balance ≈ £10,097.

Note what did *not* happen. The stop was not moved. The next trade was not doubled to recover it. The journal entry says "valid short, failed; no action required". This is what a loss looks like inside a plan.

Worked trade 3 — XAU/USD long at half size (exposure rule)

Status: balance £10,097. A new EUR/USD long is already open at 1% risk, stop at its original level. Gold now offers a valid long.



A clean long from demand with an $8 stop and a 2R target. But long gold is effectively short the dollar, and a long EUR/USD is already open. The exposure rule halves the size to 0.5%. The trade wins +2R — worth about £90 rather than £200, and the dollar exposure never exceeded 1.5%.

- **Setup:** uptrend; pullback into demand; bullish close. Valid.
- **Stop:** $8.00 below entry ($2,361.00 entry, $2,353.00 stop), beneath the demand zone.
- **Target:** $16.00 ($2,377.00), 2R.
- **Exposure:** EUR/USD long (USD −1%) + gold long (USD −1% at full size) = USD −2%, on the cap, and a second expression of the same short-dollar theme. Rule: **half size, 0.5%** → USD −1.5%.
- **Size:** 0.5% × £10,097 = £50.49 × 1.2500 = $63.11. $63.11 ÷ ($8 × 100 oz) = 0.079 → **0.07 lots**. Reverse check: 0.07 × 100 × $8 = $56 = £44.80. ✔
- **Result:** target hit. +$112 ≈ **+£90**, logged as **+2.0R, grade A**.

The R is the same as trade 1. The money is less, deliberately, because the account's real exposure was larger than the single chart suggested.

Practice drill — trade or no trade?



You have taken three valid trades today and all three lost: −3R, which is your daily limit. Now GBP/USD prints the cleanest pullback setup of the week — higher low, strong bullish close, almost 2R of room to the prior high. Trade or no trade?

THE REVEAL



THE ANSWER

No trade. The daily limit is −3R and you are at −3R; the platform is closed. The setup's quality is irrelevant — the plan exists for exactly this moment, when a good-looking setup makes breaking it feel reasonable. Here price went on to the target, and that is fine: one missed winner costs nothing that matters. A habit of trading past your limit eventually costs the account.

COMMON MISTAKE

Treating the plan as a default that can be overridden by a "really good" setup. The plan's value is that it is not negotiable in the moment. The day you override it for a great setup is the day it stops being a plan.

Making it stick

Keep it in sight. Print the one page and put it beside the screen. Its job is to be in your eye-line at the moment you are tempted.

Review weekly, revise rarely. Re-read it every week. Amend it at most monthly, in writing, with a dated reason — and never on a trading day or during a drawdown.

Grade adherence before profit. A week of full adherence with a red P&L is a good week. Enough of those, and the P&L settles to whatever your edge honestly is — which is all anyone can ask.

Going deeper

Scaling the plan. As your journal grows, the plan can evolve on evidence: a different risk percentage for a setup with a long, stable record, a tighter daily limit for a high-frequency method, a stricter rule for a session where your C grades cluster. Each change follows the change-control process from lesson 9.

Plans for different accounts. If you trade a personal account and a prop-firm challenge, write a plan for each. The challenge plan's limits sit inside the firm's limits (lesson 8), and the two accounts' exposures should be considered together if you trade the same ideas in both.

The plan is the strategy. Markets will always be uncertain. Your risk is the one variable you fully control, and controlling it is what allows every other skill you learn to compound instead of resetting to zero.

THE RULES

- Every trade passes the eight-step pre-trade routine; any 'no' means no trade.
- Risk per trade, exposure caps and loss limits are written with numbers and never changed during a drawdown or on a trading day.
- Any rule breach: close if open, log it, stop for the day.
- Grade adherence before profit, every week.

PRE-TRADE CHECKLIST

- ☐ I am inside my daily, weekly and peak-drawdown limits, and my risk % reflects any drawdown rule
- ☐ This setup is in my written playbook and I would be happy to show it in my journal
- ☐ My stop is at the point where the idea is wrong, plus a spread buffer
- ☐ My honest first target is at least my minimum R
- ☐ I have broken the trade into currencies and it fits my per-currency and total caps (half size if it repeats a theme)
- ☐ Size is calculated from the formula, converted to my account currency, rounded down and reverse-checked
- ☐ No high-impact release on either currency before the trade is likely to resolve
- ☐ The stop is attached to the order at the broker
- ☐ The plan fields are logged in my journal before I look at the result

Summary

- A written risk plan answers eight questions: risk per trade, sizing, trade quality, exposure, loss limits, stop and exit discipline, journalling and breach protocol.
- The eight-step pre-trade routine turns the plan into yes/no questions; any 'no' ends the process.

- Worked trades: +2R on EUR/USD at 0.62 lots; −1R on USD/JPY at 0.54 lots, handled without drama; +2R on gold at half size because of dollar exposure.
- When a limit is hit, even a perfect setup is no trade.

CHECK YOURSELF · ANSWERS AT THE BACK

1. Which comes first in the pre-trade routine?

   A. Calculating the size

   B. Checking you are inside your loss limits and current risk level

   C. Setting the target

   D. Placing the order

2. In worked trade 2, after the −1R loss, what did the plan require?

   A. Double size on the next trade

   B. Move to a different pair

   C. Nothing beyond logging it — the trade was valid and the loss was as planned

   D. Stop trading for a week

3. Why was worked trade 3 taken at 0.5% rather than 1%?

   A. Gold is always traded at half size

   B. It was a second short-dollar trade alongside an open EUR/USD long

   C. The setup was weak

   D. The account was in a 10% drawdown

4. You are at −3R for the day with a −3R daily limit, and an excellent setup appears. What does the plan say?

   A. Take it at half size

   B. Take it — quality overrides the limit

   C. No trade; the platform is closed for the day

   D. Take it on a demo and copy it live if it works

5. Using £10,000 at 1% and GBP/USD 1.2500, what is the correct size for a 20-pip EUR/USD stop?

   A. 0.50 lots

   B. 0.62 lots

   C. 0.63 lots

   D. 1.25 lots

6. When should the written risk plan be amended?

   A. Whenever a trade loses

   B. During a drawdown, to stop losses quickly

   C. At most monthly, in writing with a dated reason, never on a trading day or in a drawdown

   D. Never under any circumstances

Strategy passport.

The whole setup on one page. Print it and keep it by your screen.

MARKET

Any pair or metal you trade — the rules are the same everywhere; only the pip value changes.

WAIT FOR

A setup from your tested playbook with a stop at a genuine invalidation level and an honest target of at least your minimum R (illustratively 1.5–2R).

TRIGGER

Only enter once the size is calculated, rounded down, reverse-checked, and every daily, weekly and exposure cap is clear.

STOP

Placed first, at the point where the idea is wrong, plus a buffer for spread. A hard order at the broker, never widened.

TARGET

Structure-based and written before entry. Measured in R so every trade is comparable with every other.

AVOID

Sizing by feel, widening stops, stacking correlated trades, trading after hitting a loss limit, and changing the plan during a drawdown.

Quiz answers.

Lesson 1, Q1: B. Same entry, same stop, same trade — the only variable left is position size. Size, not analysis, decided the damage.

Lesson 1, Q2: B. Each loss is 1% of a slightly smaller balance, so ten losses compound to $1 - 0.99^{10} \approx 9.6\%$, a little under 10%.

Lesson 1, Q3: C. Risk is the distance from entry to stop multiplied by position size. Margin and leverage describe how big the position is, not what you lose if wrong.

Lesson 1, Q4: B. Risk per trade is chosen by surviving the worst realistic losing streak. Returns are an output of the method, not an input to the size.

Lesson 1, Q5: B. 1% of a smaller balance is a smaller sum, so each further loss digs the hole more slowly.

Lesson 1, Q6: B. A stop becomes a market order when touched; after a gap, the first available price can be well beyond the stop, so the loss is larger than planned.

Lesson 2, Q1: B. The stop is an analytical decision taken from the chart. The size is calculated afterwards so that the stop costs exactly your chosen risk.

Lesson 2, Q2: B. $200 ÷ (20 pips × $10 per pip per lot) = 1.00 lot. No conversion is needed because the account is in the quote currency.

Lesson 2, Q3: B. On yen pairs one pip is 0.01. The difference is 0.50, which is 50 pips.

Lesson 2, Q4: C. Always round down to the broker's step: 0.46. Rounding up quietly increases risk above your chosen percentage.

Lesson 2, Q5: B. 0.20 lots is 20 ounces. 20 oz × $15 = $300.

Lesson 2, Q6: C. Correct sizing holds the money at risk constant. The wider stop is paid for with a smaller position, not with more risk.

Lesson 3, Q1: B. £120 ÷ £80 = 1.5. The result is +1.5R.

Lesson 3, Q2: C. 1 ÷ (1 + 1.5) = 0.40, so 40%.

Lesson 3, Q3: B. 0.7 × 0.4 − 0.3 × 1 = 0.28 − 0.30 = −0.02R. A high win rate does not rescue tiny winners.

Lesson 3, Q4: C. 24 ÷ 30 = 0.8R. Bending either level to improve the ratio just hides the problem. Skip and wait for room.

Lesson 3, Q5: B. A spread costing 0.1R is a fifth of a 0.5R winner but only a twentieth of a 2R winner.

Lesson 3, Q6: C. Occasional slippage aside, losses should cluster at or below −1R. Frequent larger losses point to moved stops, added positions or sizing errors.

Lesson 4, Q1: B. (0.40 × 2.0) − (0.60 × 1.0) = 0.80 − 0.60 = +0.20R per trade.

Lesson 4, Q2: B. (0.40 × 2.0) − (0.60 × 1.4) = 0.80 − 0.84 = −0.04R. A positive method has become a losing one with no change to the entries.

Lesson 4, Q3: B. With a typical spread of results, 25 trades gives a range that easily includes negative values. It is an early, noisy estimate.

Lesson 4, Q4: C. One early exit looks harmless. As a habit, it lowers the average win, and expectancy falls with it.

Lesson 4, Q5: B. Kelly assumes a precisely known edge. Real edges are estimates with wide error bars, so full or even fractional Kelly invites huge drawdowns.

Lesson 4, Q6: B. Outcome and quality are different things. A rule-following loss is a cost the expectancy already accounts for.

Lesson 5, Q1: B. Each trade is independent. Past losses do not change the next trade's odds — believing otherwise is the gambler's fallacy.

Lesson 5, Q2: D. The chance that a specific five trades all lose is small, but across 100 trades there are many opportunities for a run to start. The probability is about 92%.

Lesson 5, Q3: B. log(100) ÷ log(1 ÷ 0.55) ≈ 4.6 ÷ 0.6 ≈ 8.

Lesson 5, Q4: B. The fourth trade was the 5R winner. Cutting size at the bottom of a streak tends to shrink the very trades that recover it.

Lesson 5, Q5: B. Streak length alone is normal. Changes in the quality or size of losses, or a run beyond the realistic range, justify a formal review.

Lesson 5, Q6: B. Confidence changed; probabilities did not. The next ordinary loss now erases three trades' worth of risk.

Lesson 6, Q1: C. Drawdown is measured from the peak: £1,200 ÷ £12,000 = 10%. Being above the deposit does not change it.

Lesson 6, Q2: C. 0.40 ÷ 0.60 = 0.667, so 66.7%.

Lesson 6, Q3: B. Losses change behaviour. The limit removes the decision at the moment you are least able to make it well.

Lesson 6, Q4: B. The limit is an emergency brake, not a budget. Nothing changes about trade selection until it is hit.

Lesson 6, Q5: B. A fixed money limit represents a different number of losses as the balance changes; an R limit stays consistent.

Lesson 6, Q6: B. Rule-following trades with normal-sized losses point to variance. Resume carefully at reduced size and keep collecting evidence.

Lesson 7, Q1: C. Both trades sell dollars, so you are short USD twice: −2%.

Lesson 7, Q2: B. Short USD/CHF sells dollars. Combined with long EUR/USD, it doubles the short-dollar position.

Lesson 7, Q3: B. Correlation is not fixed; it drifts and often jumps exactly when diversification matters most.

Lesson 7, Q4: B. A stop at entry releases the risk on that trade, so only the new trade's 1% counts against the dollar.

Lesson 7, Q5: B. Adding to a loser raises exposure exactly where the evidence is against you. Most professional plans forbid it.

Lesson 7, Q6: B. The setup was valid. The real decision was the size of a second bet on the same currency.

Lesson 8, Q1: B. You fail when £5,000 is lost. That buffer, not the headline account size, is what your sizing has to protect.

Lesson 8, Q2: B. Remaining daily room = 4% − 2% − 0% open = 2%. In practice you would risk well under that to allow for spread and slippage.

Lesson 8, Q3: C. The floor rose with the open equity peak and did not come back down, so the distance to it shrank by roughly the open profit you gave back.

Lesson 8, Q4: A. Bigger risk resolves the challenge faster in both directions, turning it into a coin toss. It does not create an edge.

Lesson 8, Q5: B. Running out of time costs the fee. Oversizing risks a far more expensive failure and reinforces the worst habit in trading.

Lesson 8, Q6: B. Risk is sized from the drawdown floor and your method's losing streaks. The target is a finish line, not a sizing input.

Lesson 9, Q1: C. The grade measures adherence to the plan, not the outcome.

Lesson 9, Q2: B. A rule-breaking win is still a rule break. Logging it as an A would reward the habit.

Lesson 9, Q3: C. The plan would have produced +3.0R; the actual result was −0.1R. The difference, −3.1R, is the cost of the mistakes.

Lesson 9, Q4: C. Adherence is what you control. Profit over a week is dominated by variance.

Lesson 9, Q5: B. MFE suggests the targets may be too far for this method. The right response is a tested, documented change, not an instant rule edit.

Lesson 9, Q6: C. Rules changed in the heat of losses reflect mood, not evidence. Change control keeps the plan honest.

Lesson 10, Q1: B. If a limit is hit or a drawdown rule applies, nothing else matters — the status check comes before any analysis.

Lesson 10, Q2: C. A rule-following −1R loss is part of the method. The plan's response is to log it and carry on within the limits.

Lesson 10, Q3: B. Long gold and long EUR/USD both sell the dollar. The exposure rule halves the second trade on the same theme.

Lesson 10, Q4: C. The limit is not negotiable in the moment. That is the whole point of writing it down.

Lesson 10, Q5: B. £100 = $125. $125 ÷ (20 × $10) = 0.625, rounded down to 0.62.

Lesson 10, Q6: C. Plans should evolve on evidence through a calm, documented process — not in reaction to recent results.